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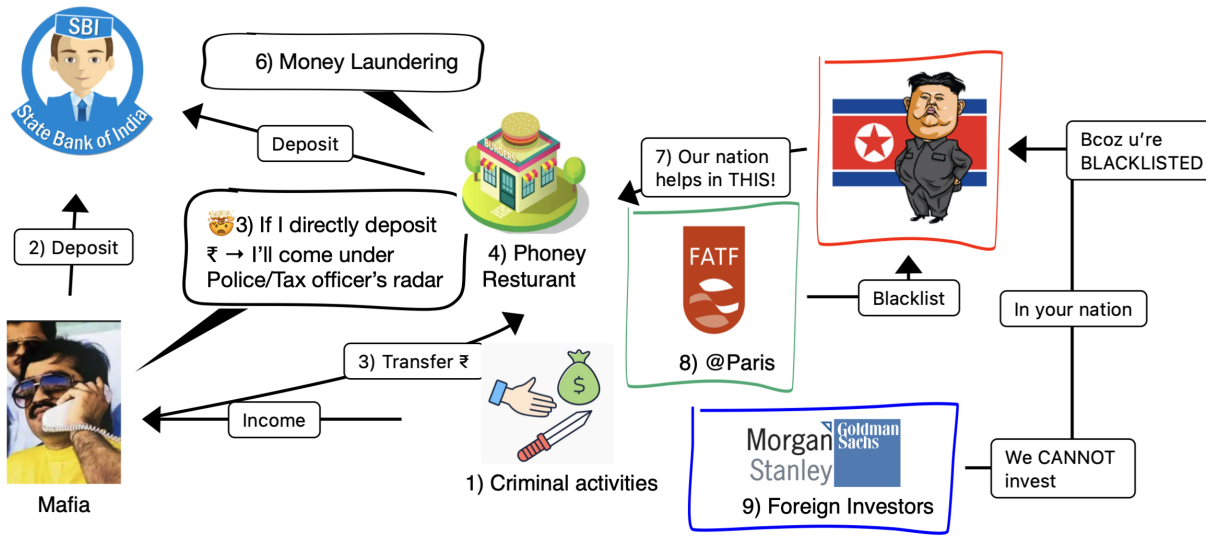
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Tax Planning / Tax Mitigation (कर-नियोजन)	When person invests money in LIC/PPF/Pension funds etc.in such manner that he can claim various deductions legally available in the Income Tax Act. It's neither illegal nor unethical. (न ही अवैध और न ही अनैतिक)
Black Money (काला धन)	It is an income or transaction that is taxable yet NOT reported to the tax authorities concealed from the tax authority. कालाधन ऐसी आय/लेनदेन है जो की कर-पात्र है, किन्तु कर-अधिकारियों से छिपाई गई.
Parallel Economy	The economy that runs on black money. (समानांतर अर्थव्यवस्था जो काले धन पर चलती है)
Tax Evasion (कर अपवंचन कर-चोरी)	When person hides income or transaction from tax authorities, and thereby evades paying taxes. It's illegal. (कराधान योग्य आय या लेन देन को सरकार से छिपाना)
Tax Avoidance (कर परिहार कर-टालना)	When person discloses his income and transactions to tax authorities but uses legal loopholes to avoid paying taxes. E.g. Bollywood stars who register digital media companies in Tax Havens. It may not be illegal in every case, but still unethical. (कराधान योग्य आमदनी या लेनदेन को सरकार से छिपाना नहि, लेकिन क़ानून मे छिद्रों के इस्तेमाल द्वारा कर को टालना जाना।)
Tax Haven (कर स्वर्ग) एसा देश जहां कर टालने / छिपाने के लिए बहुत अवसर मिलते हैं	Is a country that demands little taxes from foreigners and offers legal loopholes for Tax Avoidance & opportunities for Tax Evasion. E.g. *Liechtenstein, Mauritius, Marshall Islands, Cayman Islands, Panama, Nauru, Vanuatu etc.* These countries are geographically small, & without viable economy. So they offer such mechanism to attract foreign investors and foreign tourists.
Money laundering (गैरकानूनी तरीके से प्राप्त धन को वैध बनाना)	⇒ When drug trafficking, ransom, corruption and other criminal activity generates substantial profits, the criminal tries to spend / invest / hide the money without attracting attention. ⇒ **Money laundering (धनशोधन)** is the process of disguising the source of money, as if it came from a legitimate activity, & then channelize it into banks, share market and other financial intermediaries.

Hawala **गैर कानूनी रूप से एक जगह से दूसरी जगह पैसा भेजना**	⇒ Hawala is an illegal money transfer / remittance system. Money is paid to an agent who instructs an associate in the relevant country or area to pay the final recipient. Although used by Indian workers in middle east because lower commission than post-office/bank transfers, + better network in remote villages
Shell firms, Post-box/ Letter-box companies	They do not have any active business operations. Created with sole objective of money laundering/tax evasion/avoidance E.g. Mishail Packers and Printers Pvt Ltd. allegedly setup by Misa Bharti Yadav to launder ₹1.2 crores (as per Enforcement Directorate). मात्र कर चोरी के लिए बनाई गई कंपनियां
Panama Papers **Paradise Papers** **Mauritius papers** **Pandora Papers** **(2016-21)**	International Consortium of Investigative Journalists is a USA based nonprofit organization: released these incriminating documents from certain law firms in tax havens & showed how big politicians, businessmen, sportsmen, filmstars have setup shell companies for tax evasion/avoidance across the world. Putin, Sachin, Ambani, Amitabh Bachchan & Aishwarya Rai also named in these papers. (पत्रकारों का एक वैश्विक संगठन जिन्होंने अलग अलग दस्तावेज़ जारी कर साबित किया- कैसे दुनिया के रसूखदार लोग फ़र्ज़ी कंपनियां बनाकर कर चोरी करते हैं)
Tax Terrorism **(कर आतंकवाद)** 🍋🍋🍋👨🏻‍⚖️: 👧🏻	- Happens when tax authorities put undue pressure on an honest taxpayer to pay more taxes. (ईमानदार करदाता पर टैक्स अधिकारी अनावश्यक दबाव / उत्पीड़न करे) - Critiques have used this word in context of Vodafone & Cairn cases.
TDS/TCS	Tax Deduction at Source (TDS) स्त्रोत पर कर कटौती Tax Collection at Source (TCS) स्त्रोत पर कर संग्रह These are the mechanism to discourage tax evasion. Ref:2A: IT Handout
PAN Card **स्थाई खाता संख्याक**	10 letters alphanumeric numbered assigned to all taxpayers in India by Income Tax Dept. Ref: 2A: GST Handout for more.

24.1 (🍋👺) 👨🏻‍⚖️Black Money ⟶ Notable Organisations

Enforcement Directorate (ED: प्रवर्तन निदेशालय) founded in '56, HQ: Delhi.	FinMin ⟶ Department of Revenue ⟶ ED is a Specialized financial investigation agency to enforce following laws 1. Foreign Exchange Management Act,1999 (FEMA) 2. Prevention of Money Laundering Act, 2002 (PMLA) 3. Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974 (COFE- POSA) to fight against smugglers.
Directorate of Revenue Intelligence	FinMin ⟶ Department of Revenue ⟶ CBIC ⟶ DRI is an agency to investigate Customs/Narcotics/Wildlife/Arms related smuggling & illegal activities under Customs Act, 1962. (DRI: राजस्व आसूचना निदेशालय)
Directorate Gen of Analytics and Risk Management (DGARM)	Works under Dept of Revenue, Carrying out big data analytics to assist tax officers for better policy and nabbing tax evaders
Central Bureau of Narcotics (CBN)	Dept of Revenue ⟶ CBIC ⟶ CBN (HQ: Gwalior). Also called National Opium Agency. (1) It supervises opium/poppy cultivation in Madhya

	Pradesh, Uttar Pradesh and Rajasthan. (2) It fights against drug trafficking using powers of Narcotic Drugs and Psychotropic Substances Act, 1985
Central Economic Intelligence Bureau (CEIB)	An agency in the Ministry of Finance. It receives information from Law Enforcement Agencies (e.g. CBI, ED, SFIO, State Police etc) and acts as the Central Repository of economic offense database.
Economic Intelligence Council (EIC)	• Chairman= Finance Minister • Member-secretary= Director General of CEIB • Representatives from CBDT, CBIC, ED, SEBI, RBI, R&AW etc.
Financial Intelligence unit (FIU-2004: वित्तीय आसूचना एकक)	It analyses the suspected financial transactions in domestic and crossborder levels & reports directly to the **Economic Intelligence Council** (EIC: आर्थिक आसूचना परिषद) headed by the FM. It is the regulator of crypto-exchanges under the PMLA act.
Customs, Excise and Service Tax Appellate Tribunal (CESTAT)	Deals with appeals in Union's indirect taxes other than GST. (For GST, there is separate tribunal, refer to previous handout) - Stage1: Junior Officers | Stage2: Commissioner - Stage3: Customs, Excise and Service Tax Appellate Tribunal (CESTAT) | Stage4: HC → SC.
Financial Action Task Force (FATF-1989: HQ@Paris वित्तीय कार्रवाई कार्यदल: ऐसे बदमाश ग़ैर ज़िम्मेदार देशों की सूची बनाता है जहाँ धनशोधन और आतंकी वित्तपोषण के ख़िलाफ़ सख़्ती नहीं है)	- is a brainchild of G7, **Combating Money laundering and terror finance**. India became member in 2010. HQ@Paris - **Greylist**: nations that safe haven for terror financing and money laundering. E.g. Syria, Yemen, etc are on the grey list. (Update 2022: Mauratius & Pakistan REMOVED from this list) - **Blacklist**: nations that are not cooperating in the global fight against money laundering, terrorist financing. Iran and N.Korea
OECD (1961: HQ@Paris. आर्थिक सहयोग तथा विकास संगठन)	✓ Organisation for Economic Co-operation and Development ✓ Works for International cooperation in the matters of economy and taxation. Known for Base erosion and profit shifting (BEPS) Norms. ✓ India is not a member of OECD, yet. HQ@Paris.

MCQ. How many of the following pairs correct? (Pre'25)

Organization	Some of its functions	It works under
I. Directorate of Enforcement	Enforcement of the Fugitive Economic Offenders Act, 2018	Internal Security Division-I, Ministry of Home Affairs
II. Directorate of Revenue Intelligence	Enforces the Provisions of the Customs Act, 1962	Department of Revenue, Ministry of Finance
III. Directorate General of Systems and **Data** Management	Carrying out big data analytics to assist tax officers for better policy and nabbing tax evaders	Department of Revenue, Ministry of Finance

Codes: (a) Only one (b) Only two (c) All the three (d) None

Note: this is the first time they asked to such 3 column pair MCQ of orgs. ED works under FinMin so st1 is wrong. St2 right.

- St3 wrong bcoz it is not "Directorate General of Systems and **Data** Management" but Directorate General of Analytics and **Risk** Management. so Ans (A) only 1 pair correct, but in real life, it is difficult to remember, elimination is impossible.

24.2 🍋👺 Tax Evasion (Hiding Income / Transaction) (कर चोरी)

24.2.1 🍋👺⚖️ Prevention of Money Laundering Act (PMLA-2002)

ED files chargesheet in PMLA case involving Misa Bharti, names 35 accused



धनशोधन निवारण अधिनियम

- 1998: UN General Assembly (UNGA) declaration on Money Laundering → 2002: India enacts this law to combat money laundering with search-seizure-arrest-penalty. **Main agency?** Enforcement Directorate. (संयुक्त राष्ट्र सामान्य परिषद की घोषणा के बाद भारत ने क़ानून बनाया था)
- Cases heard @ PMLA Adjudicating Authority (न्यायनिर्णयन प्राधिकारी) → PMLA Appellate Tribunal (अपीलीय प्राधिकरण) → High Court → Supreme Court.
- RBI, SEBI, IRDAI and other regulators to make norms for Banks/NBFCs.
- E.g. RBI's Know Your Customer (KYC) norms and Anti-Money Laundering (AML) standards. 2013: Online Magazine Cobrapost's sting operation proved ICICI, HDFC and Axis Bank were flouting norms so RBI imposed a heavy penalties.

24.2.2 🔎🌸🌐 PMLA Reporting Norms to apply on Crypto-exchanges (2023)

- crypto-exchange is a platform where buying and selling of bitcoin and other crypto currency, NFTs takes place. e.g. Unocoin, Coinswitch etc.
- 2023: crypto-exchanges will have to perform the know your customer (KYC) guidelines i.e. collect ID proof, PAN/Aadhar, verified the residential address etc. (अपने ग्राहक को पहचानो नियमावली का पालन करना होगा)
- Crypto-exchanges will have to notify any suspicious transactions to authorities. (संदिग्ध लेनदेन के बारे में सरकार को सूचित करना होगा)
- Govt issued these directives using Prevention of Money Laundering Act (PMLA-2002)
- Indian Boss? CBDT.
- Global Coordination? =**OECD** group's Crypto-Asset Reporting Framework (**CARF**)

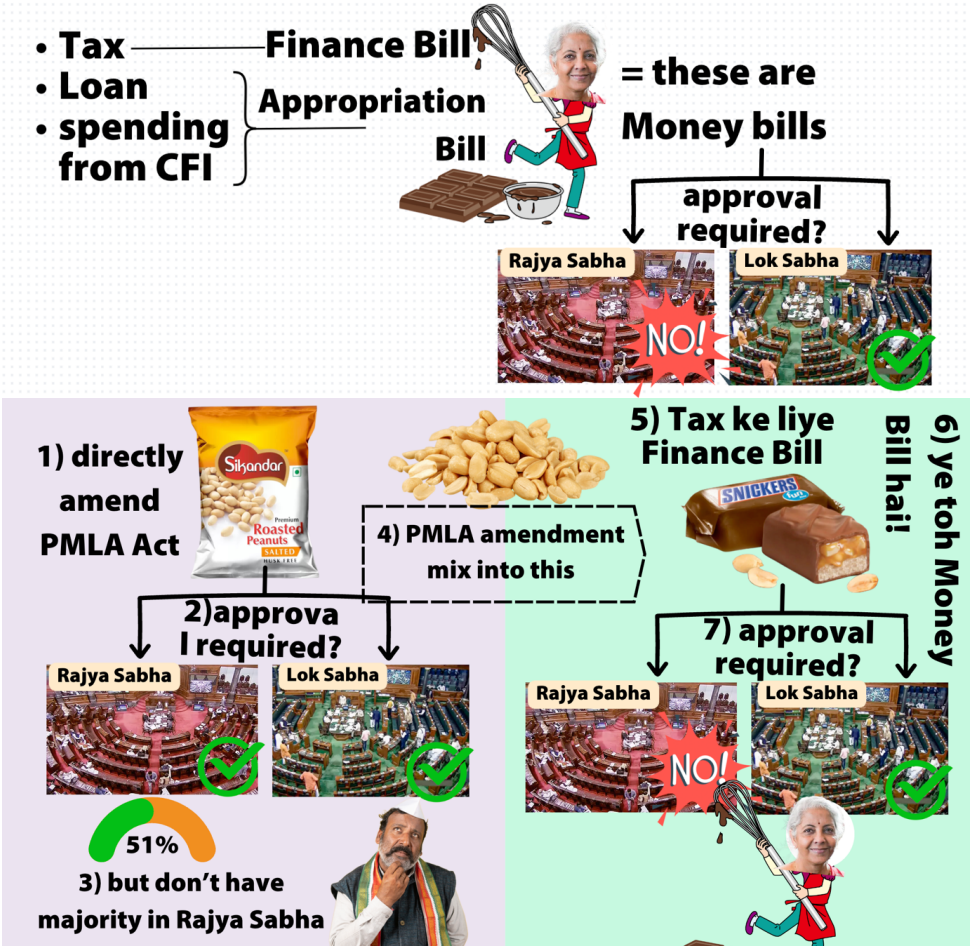
24.3 👊 Burden of Proof & PMLA

Burden of proof = responsibility of substantiating with evidence. (सुबूत देके आरोप को साबित/सिद्ध करना।)

Burden of Proof (सबूत का बोझ)	**Reverse Burden of Proof (सबूत का उल्टा-बोझ)**
On Police/Prosecution. They've to prove accused person committed crime. (पुलिस/सरकारी	On Accused Person. He has to prove he didn't commit crime. (आरोपी पर बोझ होगा कि वह स्वयं साबित

Burden of Proof (सबूत का बोझ)	Reverse Burden of Proof (सबूत का उल्टा-बोझ)
वक़ील ने साबित करना होगा कि आरोपी ने वो जुर्म/अपराध/गुनाह किया है)	करे उसने गुनाह नहीं किया।)
e.g. Present Indian penal code (IPC) / future Bharatiya Nay Sanhita	- e.g. Terrorist and Disruptive Activities (Prevention) Act (Sanjay Dutt case) - Narcotic Drugs and Psychotropic Substances Act, 1985 (SRK-son Aryan) - Prevention Of Money Laundering Act, 2002 (Rahul - National Herald Case)

24.3.1 PMLA Amendments via Finance Bill = Money Bill?



- Between 2015-19: Govt amended the PMLA Act
- To increase the powers ED to summons, arrest, and raids. (प्रवर्तन निदेशालय की शक्तिओं में बढ़ोतरी)
- Imposed 'reverse' burden of proof on accused. So automatically it became near impossible to get bail. (ज़मानत लगभग असंभव क्योंकि सबूत का उल्टा-बोझ आरोपी पर ही डाला गया)
- These changes were made by amending PMLA via Finance bill (instead of directly amending the PMLA Act- to avoid Rajya Sabha scrutiny) (धनशोधन क़ानून में सीधा संशोधन नहीं किया वर्ना राज्य सभा की अनुमति लेनी पड़ती है, और राज्यसभा में उस वक्त बीजेपी की बहुमति नहीं थी। इसलिए परोक्ष रूप से वित् बिल में छिपाकर किया।)So, case filed in Supreme court against this for violation of fundamental rights of the accused person

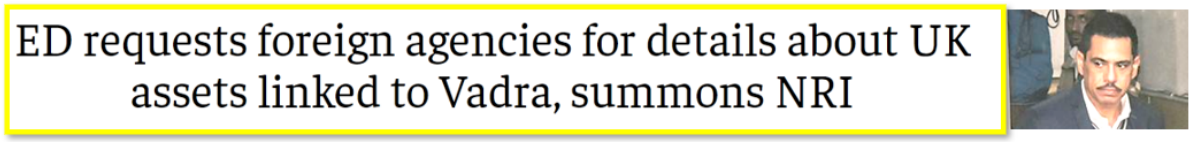
(through reverse burden of proof).

- 2022: SC held Govt is right in doing this & Opposition parties/PIL-Walla are wrong.
- 2023: Chief Justice of India (CJI) D.Y. Chandrachud said he will constitute a seven-judge Constitution Bench to revisit this matter. (इस मामले को फिर से देखेगी सुप्रीम कोर्ट की संवेधनिक खंडपीठ)

24.3.2 Bitcoin KYC rule tightened by FIU-IND (2025)

- Boss? - Financial Intelligence Unit – India (FIU-IND, under FinMin) is the single-point regulator for cryptocurrency exchanges under the PMLA Act.
- 2023 FIU-IND made rules; 2025: FIU-IND tightened rules further as follows.
- Bitcoin and other cryptocurrencies can be bought from cryptocurrency exchanges websites such as CoinDCX, Wazir-X, etc. But, these cryptocurrency exchanges need to do the following:
- Live selfie with GPS location to open a user account.
- Penny-drop test to verify the user's bank account details (ref 1D2- NPS)
- Illegal to issue Initial Coin Offerings (ICOs) and Initial Token Offerings (ITOs)

24.3.3 Undisclosed Foreign Income & Assets Act (UFIA-2015)



अज्ञात विदेशी आय तथा परिसंपत्ति अधिनियम

- ➢ It requires Indian residents to disclose their foreign assets (e.g. bungalow in Dubai, Bank account in Switzerland), and income coming from foreign sources (e.g. shell company in Cayman Island) in their income tax forms. (विदेशी आमदनी और विदेशी निवेश की जानकारी अपने आयकर फॉर्म में देनी होगी)
- ➢ Such foreign income will be subjected to 30% income tax. No deduction, exemption or rebate
- ➢ **Violation** = Penalty + upto 10 years jail time.
- ➢ If a company is found violating the Act, then every person responsible to the company shall also be liable for punishment unless he proves that it was done without his knowledge.
- ➢ Empowers Union to enter into agreements with other countries for the tax info exchange.

24.3.4 FAST-DS: 60% on foreign asset surrender in Budget-2026

- ➢ UFIA-2015 requires Indian residents to disclose foreign income & assets and pay 30% tax on it.
- ➢ But, sometimes students, young professionals who temporarily went abroad, do not report the full details out of ignorance or malice. (कुछ बार अज्ञानता / बदमाशी में वे सरकार को अपनी विदेशी आय नहीं बताते।)
- ➢ CBIC has offered them to disclose it by 31st Dec 2026 and PAY 30% tax + 30% addl. fees = 60%.
- ➢ Then the person gets immunity from further tax, penalty, and prosecution.
- ➢ There are many terms conditions to it depending on whether its upto ₹1cr or 5cr etc but poor cost-benefit preparing it. थोड़ा-पढ़ो-आगे-बढ़ो.
- ➢ FAST-DS = Foreign Assets of Small Taxpayers-Disclosure Scheme.

24.3.5 🍋👺⚖️ Benami Transactions Prohibition Act (BTPA- 1988, 2016)



- 1988's original act did not achieve much results → amended in 2016. **Main Agency?** Income Tax Department. (बेनामी लेनदेन (निषेध) अधिनियम:)
- Benami refers to properties that buyer registers in the name of his relative, personal staff (Driver, Gardner) or a non-existent/ fictitious persons (काल्पनिक व्यक्ति) to avoid tax authorities' attention.
- E.g. 2018: Misa Bharti Yadav (allegedly) bought farmhouse in the name of her brother-in-law Nilesh Kumar.
- Cases heard @ PMLA-*walli* bodies. **Violation** = Confiscation of property + penalty + Jail

🔠❓ ***MCQ. 'Prohibition of Benami Transactions Act': find correct statement(s):(Pre-2017)***

1. *A property transaction is not treated as a benami transaction if the owner of the property is not aware of the transaction.*
2. *Properties held benami are liable for confiscation by the Govt. (बेनामी संपत्ति को सरकार जप्त/क़ब्ज़े मे लेगी)*
3. *The Act provides for 3 authorities for investigations but does not provide for any appellate mechanism. Answer Codes: (a) 1only (b) 2 only (c) 1 and 3 only (d) 2 and 3 only*

24.4 (🍋👺)💼 Tax Evasion → Govt Announcements

24.4.1 🍋👺🙌 Tax (Evasion) "Surrender" schemes

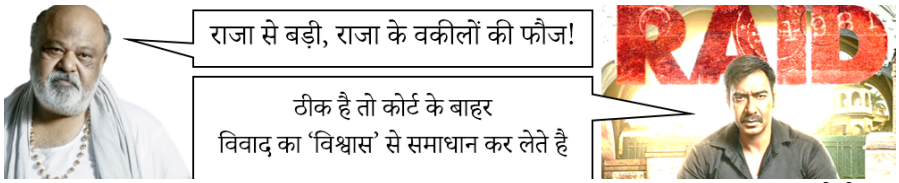
गुनाह कबूल करो / आत्म-समर्पण करो तो कम जुर्माना भरना होगा / जेल नहीं जाना होगा

Under such schemes, a tax-evader can declare his undisclosed income, pay the taxes and penalty. Then, Income Tax Department will not pursue case against him. (Although Police may still pursue case if income is from narcotics, kidnapping, extortion etc.)

Income Declaration Scheme (IDS) from 2016 JuntoSept	**Offer?** 45% of the undisclosed income shall be taken away by govt as (tax 30% + surcharge + penalty). ~67,000 cr black money was declared.
Pradhan Mantri Garib Kalyan Yojana (PMGKY) Launched after Demonetization 📅 ***Validity? 2016-Dec: To 2017-April***	- ~50% of the undisclosed income shall be taken away by Govt. as Tax + Penalty + Pradhan Mantri Garib Kalyan Cess. - Further, 25% of the undisclosed income shall be deposited in RBI's '*Pradhan Mantri Garib Kalyan Deposit Scheme, 2016*'. It'll be a fixed deposit for 4 years @ ZERO % Interest rate. - The PM Garib Kalyan cess, and deposit will be used for schemes related to irrigation,housing,toilets,infrastructure, edu, health etc. - The scheme was not very successful, hardly ~ ₹ 5000 cr. declared.

Sabka Vishwas L.D.S Scheme 2019 In budget-2019	- Businessman accepts his fault, Tax officials gives a 'discount/relief/waiver' in the penalty/late-fees, and the matter is settled, instead of litigating in courts for years & years. - For pending cases in Service Tax & Excise Duty

24.4.2 Vivad se Vishwas Scheme for Direct Taxes (Budget-2020)



Presently, >₹9 lakh cr worth direct tax cases pending before Appellate Forums (अपीलीय मंचों के समक्ष लंबित मामले) viz. IT Commissioner (Appeals) → Income Tax Appellate Tribunals (ITAT: आयकर अपीलीय न्यायाधिकरण) → HC → SC. So, Budget-2020 → "**Direct Tax Vivad se Vishwas Bill/Act, 2020**".

⇒ Scope: Appeal related to Income tax or Corporation Tax, pending before a forum as of 31/Jan/2020. Then,

⇒ Taxpayers can settle with IT dept by paying 50-100% of the disputed tax amount- depending on the case-matter.

⇒ he'll get a complete waiver/relief from interest+penalty (ब्याज और जुर्माना से माफी).

⇒ Above scheme is valid upto 31/March/2020, then Atma-Nirbhar Bharat extended it further.

⇒ This scheme is not applicable if:

- person is under prosecution for criminal activities. (अपराधिक मामले चल रहे हो)
- If black money is hidden in foreign countries. (विदेश में काला धन छिपाया हो)

Budget-2024-: announced to restart it again.

24.4.3 Dispute Resolution Committee (DRC) in Budget-2021

⇒ Budget-2021 Announced to setup this committee under the Income Tax Act (आयकर कानून के अंतर्गत विवाद निपटान समिति)

⇒ Anyone with a taxable income up to ₹50 lakh and disputed income up to ₹10 lakh shall be eligible to approach the Committee. Committee can reduce, waive any penalty or give immunity from any offence. (गुनाह कबूल कर लो /समझौता करवालो तो कम जुर्माना भरना होगा / जेल नहीं जाना होगा इत्यादि)

⇒ It will help the small taxpayers to settle tax matters without going through legal expenses & time wastage in the regular appellate process. (i.e. viz. IT Commissioner (Appeals) → Income Tax Appellate Tribunals (ITAT: आयकर अपीलीय न्यायाधिकरण) → HC → SC. (छोटे करदाता का कोर्ट कचहरी में मुकदमें बाजी मैं समय और पैसे बच जाएगा)

⇒ It will be a faceless / online Committee to ensure efficiency, transparency and accountability.

24.4.4 Tax Evasion → Other Initiatives before Corona-2020 (अन्य कदम)

Banking Cash Transaction Tax (BCTT: 2005-09)	A 0.1% direct tax levied on cash withdrawals from banks. Started by Chidambaram but later withdrawn (2005-09). Objective was to encourage less-cash economy and data mining of transactions.

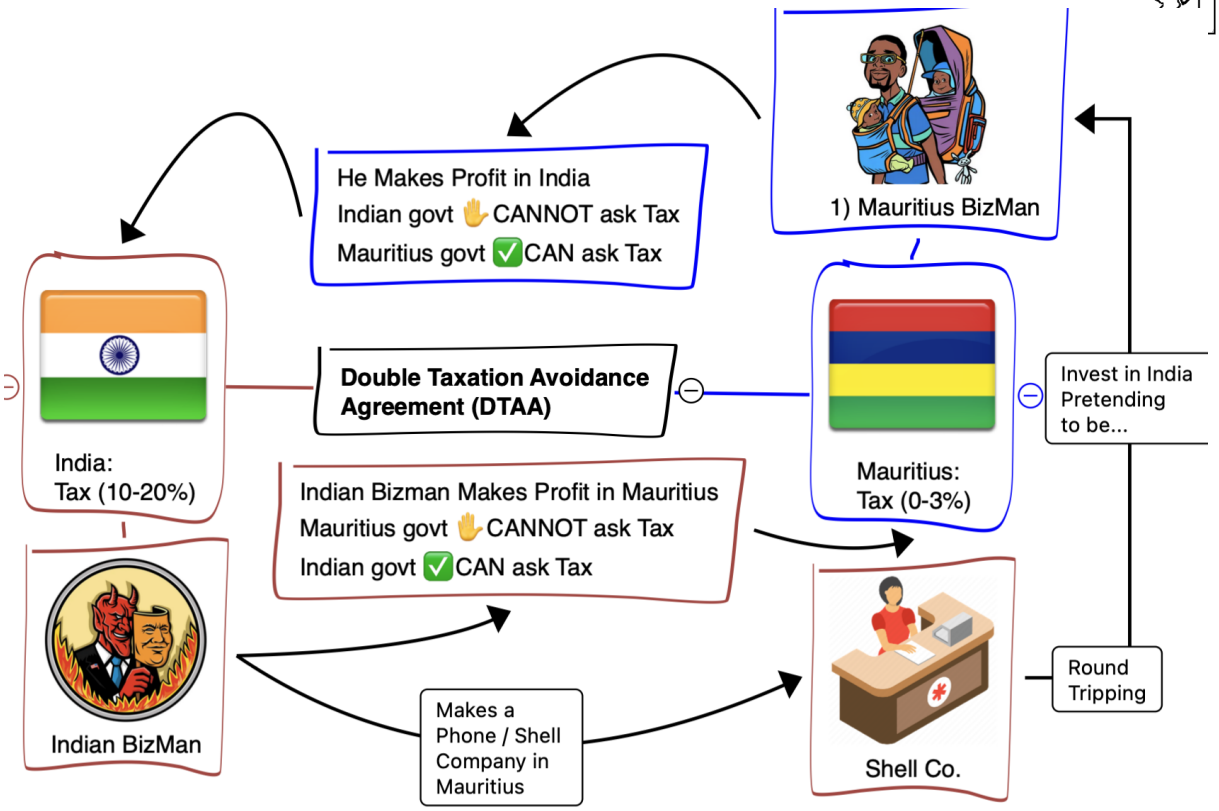
(Suggested) Banking Transaction Tax (BTT) बैंकिंग लेनदेन पर कर	A proposal by a Pune based think-tank to **Baba Ramdev** that all the direct and indirect taxes of the Union and states should be abolished and replaced with 2% tax on banking transactions. Impracticable because such experiments were tried and failed in Australia and other countries as people shifted to using barter system, diamonds and gold for transaction. 2017: Govt clarified they **are not considering** any such proposal. ~~So NOTIMP~~
SC's special investigation team (SIT) on Black Money 2014	Chairman: Retd. SC Justice MB Shah, and senior tax officials. They recommended various measures against Black Money hidden in India, in overseas banks, P-Notes etc. SC ordered Govt to implement its recommendations.
Operation Clean Money	**2017:** IT Dept. verified large bank deposits made Post-demonetization.
Restrictions on Cash Transactions, 2017	Budget 2017 → Finance Act, 2017 → 1) if anyone accepts ₹ 2 lakh /> CASH in a day / in multiple transactions related to one 'event', then Income Tax Dept penalty = 100% of the cash received. Banks, post office, govt organisations that receive cash = are exempted. 2) normally political party does not have to pay income tax. But if political party accepts more than ₹2000 CASH as donation → political party will have to pay income tax on such donation. (*This rule made to encourage the use of cheque/ NEFT/ RTGS/ Electoral bonds in donation*.)
Electoral Bonds, 2017	Ref: Pillar#1C: SEBI/Sharemarket handout

24.5 (🍋👋👨‍💼)TAX AVOIDANCE (कर परिहार / कर टालना)

Here, people will not hide the transaction, they'll blatantly declare transactions in their official records, but will use legal loopholes to avoid paying taxes. (कानूनी-खामिया निकलाके कर/टैक्स नहीं भरेंगे।)

24.5.1 🍋👋👨‍💼 Double Taxation Avoidance Agreement (DTAA) & Round Tripping

- **DTAA:** It is a tax treaty signed between two or more countries.
- **Objective?** A taxpayer resides in one country and earns income in another, then he need not pay (direct) tax twice in two countries for the same income.
- e.g. India Mauritius DTAA (1982): If a Mauritius person / company buy shares in India and sells them at profit, then he need not pay Capital Gains Tax (CGT) in India. Only the Mauritius government can ask CGT from him. And vice-versa. (दोहरा कराधान परिहार समजौता)
- 😨**Loophole?** India has 12.50 to 20% CGT whereas Mauritius ~0-3% CGT. So many Indian Politicians, Businessmen and Bollywood actors would transfer the money using *Hawala* to their shell companies in Mauritius → make those Mauritius Cos to invest back in Indian assets/sharemarket, to avoid Indian CGT.
- This process is called **Round Tripping** (राउंड-ट्रिपिंग) i.e. money that leaves the country through various channels and makes its way back into the country as foreign investment.



➢ Similar loophole in India Singapore DTAA. **2016:** Modi government amended the treaties = even Mauritius and Singapore investments in India will be subjected to Indian taxes.

24.5.2 DTAA → Principal Purpose Test (PPT: प्रमुख उद्देश्य कसौटी.)

- It means DTAA's tax benefits will not be applicable to a company, if govt finds that tax-evasion/avoidance the principal purpose of any transaction. (यदि सरकार को पता चलें कि किसी लेन-देन का प्रमुख उद्देश्य धंधा करना नहीं, लेकिन कर-चोरी/कर परिहार था, तो फिर उस कंपनी को DTAA के फ़ायदे नहीं मिलेंगे)
- Benefit? It will reduce the opportunities for the round-tripping and BEPS for the companies who are misusing DTAA.
- India has modified DTAA with new provisions of PPT - Mauritius (2024) and SriLanka (2026)
- 2024-March: India and Mauritius amended the original DTAA with this new PPT-provision.

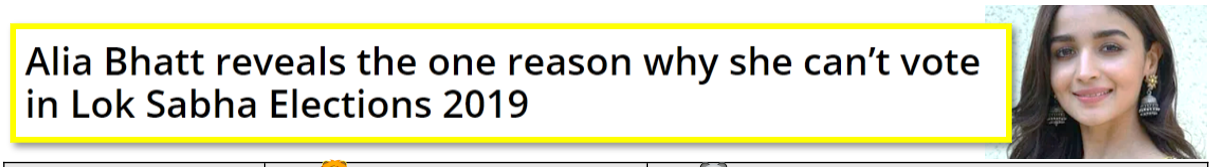
24.5.3 🌐👩‍⚖️International Law: Monism and Dualism & application of DTAA

Monism- अद्वैतवाद	Dualism- द्वैतवाद
International law is superior to domestic law. (अंतर्राष्ट्रीय कानून घरेलू कानून के ऊपर है / सर्वोपरी है।)	A dualist system treats the international and domestic systems of law as separate and independent (दोनों ही अलग और स्वतंत्र है)
If there in any conflict between the two laws, then international law will prevail over the domestic law.	Not necessary.

Monism- अद्वैतवाद	Dualism- द्वैतवाद
International law automatic applies to the country without changing the local laws. (बिना राष्ट्रीय स्तर के कानून में कोई बदलाव किए अंतरराष्ट्रीय कानून के प्रावधान सीधे ही उस देश पर लागू/अमल हो जाएंगे।)	International law will be applicable in a nation, ONLY after that nation amends its local national laws. (जब देश के खुद के कानून में सुधार/संशोधन किया जाएगा तभी उसे देश में अंतरराष्ट्रीय कानून के प्रावधान लागू हो सकते हैं)
India doesn't follow this system.	India follows this system.

Why in news? 2023: SC ruled DTAA applicable ONLY after Indian government amends/notifies such DTTA under India's own income tax act.

24.5.4 🍋👋🤵 Tax Avoidance through Non-Resident Status



If a person is	🦁Has to pay his IT on income coming from India?	🐼Has to pay IT on global income e.g. income coming from the USA/China?
Ordinarily resident of India	Yes	Yes
Non-residents	Yes	No

If India has a double taxation avoidance agreement (DTAA) with other nation, then above things may differ (e.g. recall erstwhile Mauritius CGT-roundtripping-walla example)

Table 1: 💼Budget-2020 changed these definitions

Definition in Indian Tax laws	Before Budget-2020 →	💼Budget-2020
Ordinarily Indian Resident (साधारणतया भारतीय निवासी) = person who stays in India for →	182 days/> in a year	120 days/>
Non resident (गैर निवासी)= person who stays outside India for →	182 days/> in a year	246 days/>

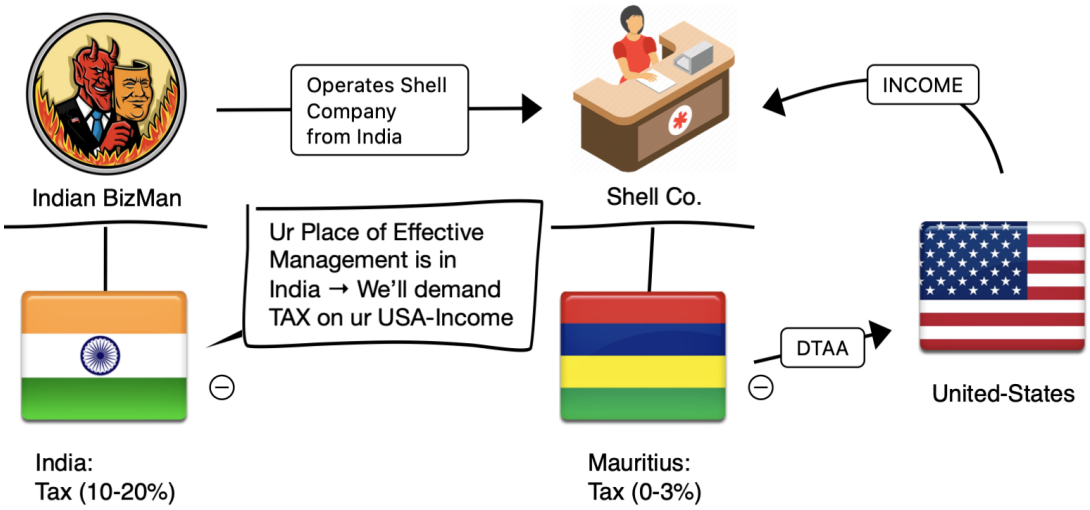
⇒ **Implications?** Person will have to stay out of India for a longer period if he want to be treated as "Non-Resident" to avoid taxes on his global income. **Numbers not imp. Only focus on 'motive'. & if they mismatch with visa/passport rules don't msg me, I've copied from budget docx.**

24.5.5 🍋👋🤵 Base Erosion and Profit Shifting (BEPS: बीईपीएस)

⇒ When MNCs shift profit from its source country (e.g. India) to a tax-haven to avoid / reduce paying taxes, its known as "BEPS". (बहुराष्ट्रीय निगम द्वारा मुनाफे को स्थानांतरित करना ताकि भारत में उसे टेक्श कम भरना पड़े)

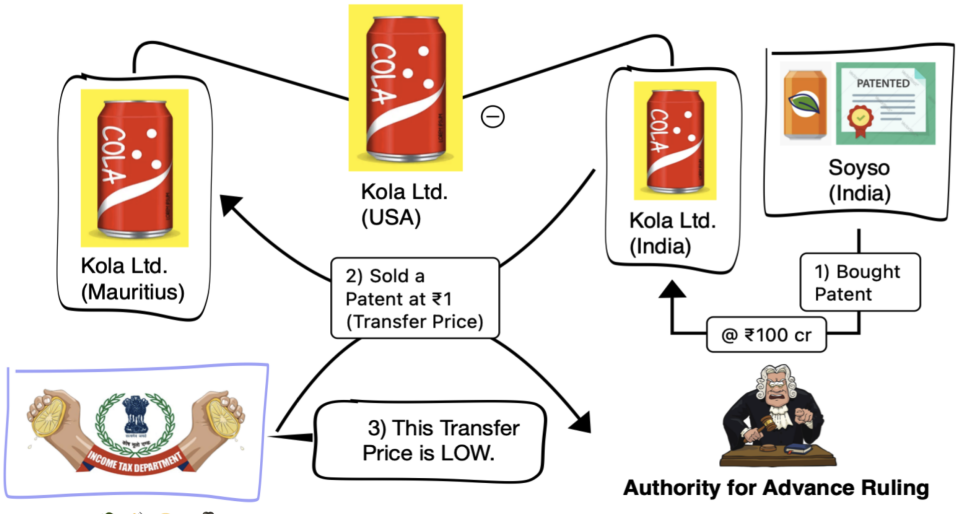
⇒ **India signed the OECD's joint Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting (commonly referred to as MLI)**

24.5.6 🍋👋👨‍💼 Place of Effective Management (POEM: पीओईएम)



(विदेश में बनी फर्जी कंपनी के प्रबंधन का वास्तविक स्थान भारत में स्थित है तो भारत सरकार उसके मुनाफे पे टेक्श मांगेगी।)

24.5.7 🍋👋👨‍💼 Transfer Pricing & Authority for Advance Rulings (AAR) (हस्तांतरण मूल्य)



24.5.8 (🍋👋👨‍💼) 🕵 General Anti-Avoidance Rules (GAAR)

Till now we learned how Indians and foreigners avoid tax payment in India through loopholes like DTAA, POEM, BEPS, Transfer Pricing etc.

- So, UPA/Congress Govt setup economist **Parthasarathi Shome** panel who suggested General Anti Avoidance Rules (GAAR: कर परिवर्जन रोधी व्यापक नियम) ⟶ they were added Income Tax Act
- GAAR empowers Income Tax officials to send notices to both Indians and foreigners for suspected Tax **Avoidance**. (For Tax **evasion**, we've separate laws- PMLA, UFIA, BTPA)
- But critics alleged GAAR will result in tax terrorism, harassment, no ease of doing biz. So successive Budgets kept delaying the GAAR- implementation. Finally done on 1/4/2017.

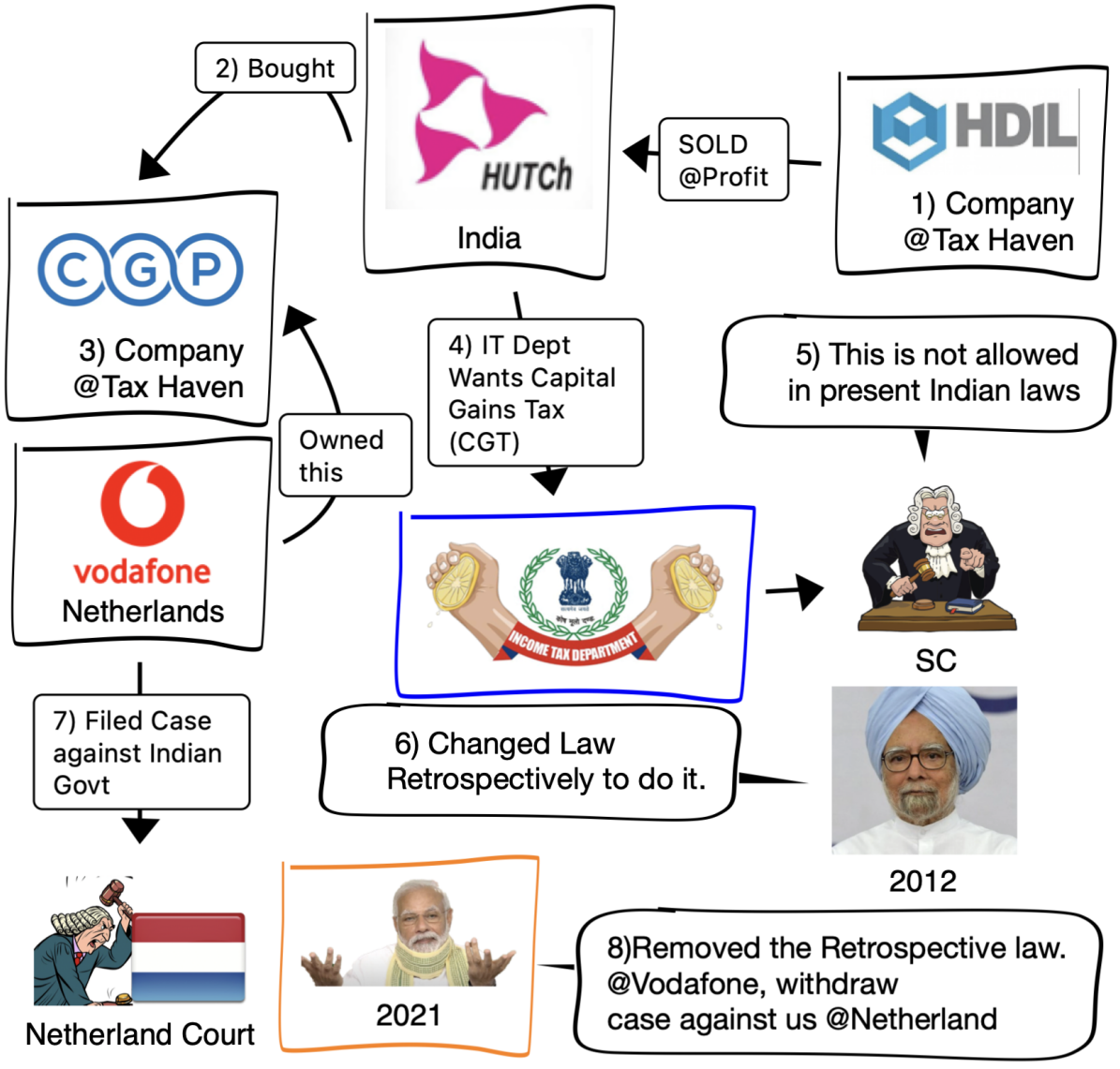
24.5.9 ⚓ Safe Harbour Rules (सुरक्षित बंदरगाह नियम) & 👛Budget-2026:

It is a concept related to legal immunity (कानूनी संरक्षण).

🐥 e.g. for social media	🍋e.g. for calculation of direct taxes
• If a user uploaded pirated movie on Facebook → **govt will not take action against Facebook owner** Mark Zuckerberg (if he removes it). • But govt will take action only against user.	• In certain type of transactions involving transfer pricing and foreign investors → **Indian tax officers will not take action** against those foreigners. • 👛**Budget-2026:** If a foreign IT company/AI-Data Centres, etc., signs an agreement to pay ~15% tax, then it is safe harbor from such tax notices/harassment ^^

^^There are many terms and conditions to it. I've given an oversimplified version.

24.6 (🍋👋👨‍⚖️:⌛) 🕴🏻 Retrospective Tax: Vodafone



⇒ **(Intro: Origin)** To avoid paying capital gains tax in India, the foreign companies usually create shell companies to indirectly transfer Indian assets. (भारत में पूंजीगत लाभ कर से बचने के लिए विदेशी कंपनियों द्वारा शेल कंपनी बनाकर भारतीय सम्पत्तियों की परोक्ष रूप से ख़रीद बिक्री की जाती है)

⇒ **(Definition)** Respective taxation= It is an act of demanding tax on a transaction that occurred in the past, when such transaction was not taxable. e.g. in 2012- demanding tax on 2007's event, even though in 2007 it was not taxable as per law in 2007. (पूर्वप्रभावी/भूतलक्षी कराधान यानी की कोई ऐसी भूतकाल की लेनदेन पर कर माँगना, जिसपर उस भूतकाल में क़ानून रूपसे कर नहीं लगता था)

- For more watch lecture.

24.6.1 (🍋👋👨‍⚖️:⏳) 🕵🏻 Retrospective Tax removed after Cairn Energy

Cairn Energy Company's case is also similar to Vodafone Hutch case. Income tax dept was demanding Capital Gains Tax. Cairn complained to Netherland Arbitration Court under the provisions of India Britain bilateral investment Treaty. (Such treaties allow the aggrieved investor to complain in the specialised international tribunals at Singapore, Netherland, etc.)

⇒ 2020-21: Netherland Arbitration Court had ordered Indian govt to pay $1.2 billion to Cairn Energy for tax harassment. (नीदरलैंड की कोर्ट ने भारत सरकार पर एक बिलियन डॉलर से ज़्यादा का जुर्माना डाला)

⇒ To recover this $1.2 billion compensation, Cairn company was trying to seize Indian Govt's assets in foreign countries e.g. Air India planes parked on USA Airport, Indian Govt's embassy office/properties in Paris etc. (कंपनी मुआवज़े की वसूली के लिए भारत सरकार की विदेशों में स्थित संपत्तियों पर क़ब्ज़ा/नीलामी चाहती है)

  - 2021-Aug: FinMin introduced a Taxation Laws (Amendment) Bill, 2021 to end retrospective tax rule-(वित् मंत्रालय का कराधान क़ानून संशोधन अधिनियम २०२१- जिसमें पूर्वप्रभावी/भूतलक्षी कराधान को रद्द किया)
  - "If indirect transfer of Indian assets occurred before May 28, 2012, then Indian government will not demand taxes on it. (2012 से पहले हुए इस प्रकार के लेन देन पर कोई भूतलक्षी कराधान नहीं माँगा जाएगा।)
  - however it requires that company need to drop the cases against Indian tax authorities, filed in the Indian and foreign courts. (हालाँकि इस रियायत मैं शर्त ये है, कि कंपनी ने भारतीय सरकार के ख़िलाफ़ जो जो मुक़दमे भारतीय और विदेशी अदालतों में दायर किए हैं, उन्हें वापस लेना होगा।)

⇒ 2021-Sept: Cairn agrees to drop cases filed against India in France, Netherland, USA etc. And government of India agreed to drop the (retrospective) tax demand against Cairn. Vodafone also planning to do similar. (उन विदेशी कंपनीयो ने भारत सरकार के ख़िलाफ़ विदेशी अदालतो में दर्ज किए केसों को वापस लिया)

🔠❓ **Which one of the following situations best reflects "Indirect Transfers" ? (Prelims-2022)**

(a) An Indian company investing in a foreign enterprise and paying taxes to the foreign country on the profits arising out of its investment

(b) A foreign company investing in India and paying taxes to the country of its base on the profits arising out of its investment

(c) An Indian company purchases tangible assets in a foreign country and sells such assets after their value increases and transfers the proceeds to India

(d) A foreign company transfers shares and such shares derive their substantial value from assets located in India

24.7 🍋👋🌐:👨‍💼 GLOBAL MINIMUM TAX (वैश्विक न्यूनतम कर)



⇒ (Introduction: Origin) Tax Haven/Low Tax nations such as Luxembourg (Corporation Tax: 1.39%), British Virgin Island 0.07%, Cayman Islands 0.2 %. These countries are geographically small, & without a viable economy. So they offer such a mechanism to attract foreign investors and foreign tourists. (कर स्वर्ग ऐसे देश हैं जहां पर प्रत्यक्ष करों की दर बहुत कम होती है ताकि विदेशी निवेश और विदेशी पर्यटकों को आकर्षित किया जा सके)

⇒ Multinational corporations register their company here to transfer their profits/avoid paying taxes to normal countries where they are operating. India is losing annually $100 cr, while USA is loosing annually $500 cr by this. (बहुराष्ट्रीय कंपनियां ऐसे कर स्वर्ग की मदद से कर-परिहार/करो को टालती है.)

24.7.1 🍋👋🌐:👨‍💼 Global Minimum Tax: G7 Framework

G7 Summit-2021: The theme is 'Build Back Better'. **Venue**: Cornwall, England. **Members**: US, UK, France, Germany, Italy, Canada and Japan- with following outcomes:

⇒ Companies need to pay in the countries where they do business.(कंपनी जिस देश में धंधा व्यापार कर रही है वहां उसने कर देने होंगे)

⇒ G7 framework/agreement for global minimum tax framework of 15%. (बहुराष्ट्रीय कम्पनियों पर न्यूनतम 15 प्रतिशत कर/टेक्स)

⇒ In the past, countries engaged in a tax-reduction race, to attract FDI investments. This needs to be discouraged. (विदेशी निवेश को आकर्षित करने के चक्कर में अलग अलग देश अपने करो की दरे कम किये जा रहे थे. इस स्पर्धा को रोकना होगा)

⇒ Later such treaty may be used for imposing sanction / international lawsuits /armtwist tax havens to increase their taxes. Then it'll become difficult for companies to avoid paying taxes. (भविष्य में इस प्रकार की संधि द्वारा छूट-भैय्ये कर-स्वर्ग देशों पर प्रतिबंध /दंड/अंतरराष्ट्रीय मुकदमे चलाए जाएंगे। ताकि वे भी अपने करो की दरें बढ़ा दें. अंतत: बहुराष्ट्रीय कंपनियों के लिए कर-परिहार मुश्किल होगा।)

⇒ 2021-Jul: India supported the idea. 2025-USA Trump walked out of the deal.

24.7.2 🍋👋🌐:👨‍💼 G7-OECD "2" Pillar Solution for Global Minimum Tax- deleting bcoz Trump

Matter outdated and Trump rejected so deleting this segment.

24.7.3 🦅 USA / Trump walks out of global minimum tax (2025-Jan)

- President Trump declared that global corporate minimum tax deal has no force/validity in the USA. bcoz
- (1) Trump does not recognize the commitments made by previous Prez Joe Biden.
- (2) This deal requires American companies to pay taxes in the countries where they make profit e.g. To India. Trump says such tax will harm America's economic sovereignty and competitiveness.

🔠**MCQ. Quantified Domestic Minimum Top-up Tax' is a term related to _ _ _ _ . (EPFO-2023)**

- (a) Global Anti-Base Erosion Rules - (b) Prevention of Money Laundering

- (c) Regulation of Crypto-currency - (d) Virtual Digital Asset Transactions

24.8 🍋🍋🍋👮: 🙅 REFORMS TO REDUCE TAX TERRORISM / HARASSMENT



We learned about the reforms to fight "Tax evasion" → ban on cash transaction of ₹ 2 lakh / >, - Operation Clean Money etc. So, on one hand, Income Tax Department has to become 😡💪strict / coercive to fight against Tax evasion. At the same time, IT dept. also needs to become more 🤝🌷 friendly towards honest taxpayers, So, following measures taken→ (कर आतंकवाद उत्पीड़न)

24.8.1 🍋🍋🍋👮: 🧾 Pre-filled online forms for Tax Payers

Income Tax dept extract your financial data from Banks, NBFCs , Stock exchanges, Mutual Funds, EPFO, Employers' TDS submissions etc. → provides you with a Pre-filled tax returns containing your salary income, capital gains from share/bond, bank interests, etc. (पहले से भरा हुआ फॉर्म आपको दे देंगे)

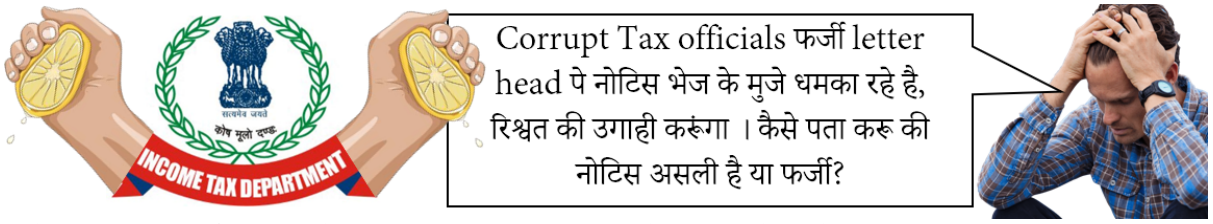
1) 😁Income tax payers' time and energy saved. He'll not have to consult Chartered Accountant for every small matter on how to fill form.
2) 😁Accuracy of reporting income and paying taxes.

24.8.2 🍋🍋🍋👮: 🧾 Faceless interaction between Tax payers and Tax official

Personal interaction between the assessee (=tax payer) and Income Tax official = more chances of harassment / bribery. So, Government launched following reforms:

1) Cases will be allotted in random **computerized lottery** basis to IT officials without disclosing the name, designation or location of the Officer.
2) faceless system of assessment and appeal. (= email / zoom / video-conference se reply karo.)

24.8.3 🍋🍋🍋👮: 🧾 Document Identification Number (DIN: दस्तावेज़ पहचान संख्याक)



Whenever Tax official sends letters to taxpayers regarding search authorisation, summons, arrest memo, inspection notices etc. All such documents will have computer generated 'Document Identification Number' (DIN).

✓ 2019: Both Central Board of Direct Taxes (CBDT) and Central Board of Indirect Taxes and Custom (CBIC) started this practice.

DIN system benefits?

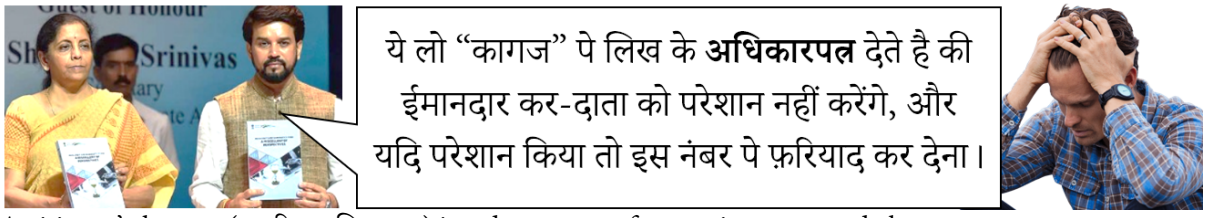
✓ It'll create a digital directory of communication between tax authorities and taxpayers. Transparency, accountability, efficient and faster clearance of cases, because all the information available at the click of a mouse. (पारदर्शिता, जवाब देही, कार्य दक्षता, केसों का त्वरित निपटान)

✓ If a document doesn't have DIN number, it'll be **treated invalid**. Thus, DIN system will prevent

the corrupt tax officials from sending **fake notices** to harass/blackmail taxpayers for bribes.

Sidenote: Director Identification Number (DIN): Director of every company is required to obtain this number from the **Ministry of Corporate Affairs** under the provisions of Companies Act. It helps monitoring the company act provisions related to *"1 person can't be director in more than 'x' number of companies"* etc.

24.9 TAXPAYERS' CHARTER IN BUDGET-2020 (करदाताओ का अधिकारपत्र)



A citizens' charter (नागरिक अधिकारपत्र) is a document of commitments made by a government agency to the citizens in respect of the services being provided to them.

⇒ e.g Dept of Post's citizen charter reads, "we'll deliver speed post anywhere in India by 4-5 days →ELSE complain online to this website & we'll solve it → if not solved in 90 days then complain to Postmaster General → then to Chief Postmaster General."

⇒ Traditionally tax administrations paid limited attention to taxpayer service. पुराने जमाने में/पारंपरिक रूप से कर-अधिकारी "करदाता को अच्छी सेवा देना" अपनी जिम्मेदारी नहीं समझते थे. घमंड और बेरुख़ी से काम करते थे

⇒ However, Modern times → ⏫demand for better services to the taxpayers → Govts across the world, started framing charters and bill of rights for the taxpayers. हालांकि आधुनिक विश्व में इस प्रकार के अधिकार पत्र और कानून बनाए गए हैं

1986	UK charters for taxpayers (करदाताओं का अधिकार पत्र) → more updated 2009
1991	- 1991: citizen charter system started in UK by PM John Major - 1997: citizen charter introduced by Indian Government (नागरिकों का अधिकार पत्र)
1988	USA Taxpayers' Bill of Rights (करदाताओं के अधिकारों का विधेयक/कानून)
2007	Canadian taxpayers' Bill of Rights
2020	Indian Budget-2020: CBDT will declare a Taxpayers' Charter. So, Tax payer will easily know what services / complaint redressal mechanisms (शिकायत निवारणतंत्र) are available to him= ⬇taxpayer's harassment (करदाता का उत्पीड़न)

24.9.1 (Indian) Tax Payers' Charter released in 2020-Aug

It promises following things to taxpayers: करदाताओं को वादा करता है

1. You'll be treated in an impartial,courteous, professional manner. निष्पक्ष, विनम्र और पेशेवर तरीके से व्यवहार
2. You'll be treated/ presumed to be honest, unless there is a reason to believe otherwise. आपको ईमानदार माना जाएगा।
3. We will provide complete and accurate information about rules & complaint mechanism etc a timely fashion.नियम/शिकायत दर्ज कराने सम्बन्धी जानकारी
4. We will collect only correct amount of tax. (केवल सही राशि ली जाएगी। ज़बरन ज़्यादा राशि नहीं ली जाएगी।)
5. We will respect your privacy and confidentiality निजता व् गोपनीयता का सम्मान
6. We will hold our officers accountable for their wrongful actions. अधिकारिओ को गलत कार्यो की सजा देंगे

7. You can appoint a representative / tax lawyer to file replies/complaints//cases on your behalf. मामले दर्ज करने के लिए एक प्रतिनिधि / कर वकील नियुक्त कर सकते हैं।
8. We'll reduce cost of compliance (e.g. number of forms to be filled, photocopies to be submitted etc) अनुपालन की लागत कम करेंगे- फ़ालतू में दस्तावेज़ो की दर्जनों कॉपी निकालके फ़ॉर्म के साथ जोड़ने पड़े- एसे तमाशे बंद करेंगे.
9. +many other points but we have sufficient content for 250 words

It expects following things from taxpayers: Be honest, Pay taxes in time, Keep accurate records, be informed, respond to notices in time when notices are given. (करदाताओं से निम्न अपेक्षा करता है की वे ईमानदार रहें, समय में करों का भुगतान करें, सटीक रिकॉर्ड रखें, सूचित रहें, समयसर नोटिस का जवाब दें)

24.10 🍋👧: 🤦‍♂️🤦‍♂️ Tax Ombudsman in 📦📦 Economic Survey 2021

- 'Ombud' is a Swedish term and refers to a person who acts as the representative or spokesman of another person. 1809: The institution of Ombudsman was first created in Sweden- to look into citizens grievances (लोकपाल/लोक प्रहरी- नागरिकों की शिकायतों के निवारण के लिए)
- ✅Homework: READ about Lokpal and Lokayukta in Polity Book

24.10.1 🍋👧: 🤦‍♂️🤦‍♂️ Tax ombudsman: Indian experience

2003	Direct Tax Ombudsman In India Started (प्रत्यक्ष करों के लिए कर-लोकप्रहरी/शिकायत निवारण अधिकारी)
2011	Indirect Tax Ombudsman In India Started (अप्रत्यक्ष करों के लिए)
2019	Above posts were abolished (दोनों पदों को समाप्त कर दिया)
2021	Eco Survey recommends to setup tax ombudsman with statutory powers. More in the Mains Handout.

24.10.2 🍋👧: Reducing Tax Terrorism / Harassment: online portals/Apps

Aaykar Setu	- 2017: CBDT's mobile app for Income Tax, TDS refunds etc.
Ease in paying Customs Duty : Portals/Apps by CBIC	1. Indian Customs Electronic Gateway (**ICEGATE**) webportal for e-services related to the Customs duty. 2. **ICEDASH webportal**: public can view daily data on customs clearance at seaports and airports. (launched 2019-Nov) 3. **ATITHI mobile app:** for international travelers to file the customs declaration in advance (e.g. 'we are leaving or coming with "x" gms of gold/diamonds/electronics etc on which y% customs duty is applicable/exempted'). So, they don't have to waste time at airport queues in filing such declarations. (launched 2019-Nov)
Transparent Taxation - Honouring the Honest पारदर्शी कराधान- ईमानदार का सम्मान करना **2020**	This portal has following components: ⇒ Taxpayers' Charter. ⇒ Automated Random/lottery allocation of investigation cases. ⇒ Faceless assessment & Faceless appeal. No requirement of physical interface between taxpayers and the Income Tax department.
Turant Customs 2021	⇒ By Central Board of Indirect Taxes and Customs (CBIC) ⇒ Turant Customs initiatives= Faceless, Paperless, and Contactless Processes / Application Forms, Appeal etc for importers, exporters

24.10.3 🩹 ITR / income tax return form

- It is a form through which person/company needs to disclose income, and pay direct taxes.
- ITR forms have different form numbers such ITR-1 (Sahaj), ITR-4 (Sugam), ITR-2 etc. depending on the type of taxpayer (salaried-employee, freelance-professional, company etc)

Year	2022	2023-Dec-31st	2025/Mar/31/
No. of ITRs filed	6.9 crores	Over 8 crores	9.2 crores

24.10.4 🔍 Income Tax : E-Governance Initiatives in Modi-Raj

Non- Filers Monitoring System (NMS)	- This software monitors the TDS/TCS, e-commerce websites (e.g. Amazon se iPhone buying) etc. to identify the people who are doing high-value transactions, but not filing income tax return (ITR) forms. - - Then IT Dept issues notice to such people / tax-evaders.
TDS: TRACES Portal / Refund Banker SBI	- TDS Reconciliation Analysis and Correction Enabling System (TRACES) - is a web portal of the Income Tax Department. - Helps in deposit & refund of TDS/TCS. - Refund is delivered to tax payer via Refund Banker SBI via NEFT/RTGT/Cheque.(Ref: Pillar#2A1: TDS and refund)
Project Insight 2017	Income Tax Dept. hired L&T Infotech ltd to develop an integrated platform for data mining & tracking tax evaders. **(Related) Project Saksham 2016:** CBEC/CBIC's project for digital re-engineering related to GST. It's not a 'drive against black money' but for 'Ease of Paying Taxes'. - **(Related) Aaykar Setu:** CBDT's mobile app to pay Income Tax.
CASS	- Computer Assisted Scrutiny Selection - Income Tax Department uses it to select cases for raid/prosecution.

24.11 🍋👮🌱 Direct Tax Code (DTC) Task Force (2017-2019)



⇒ 2017: Finance Ministry setup this taskforce under CBDT member **Arbind Modi**. Later, he retired so another CBDT member **Akhilesh Ranjan** was made Chairman.

- It aimed to replace the Income Tax Act 1961 with a simpler Direct Tax Code (प्रत्यक्ष कर संहिता).
- but his recommendations not implemented, and separate Income Tax Bill made

24.12 🍋⚖️ Income Tax Bill 2025 to simplify & compress the law

Matter	Income Tax Act,1961	New Bill 2025
Words	5.12 lakh	2.60 lakh

- Basically, they have compressed the paragraph and converted them into tables, thereby reducing the number of chapters, sections and pages.

- Critics argue, not enough changes or reform have been made in the law itself. It is merely compressing the words

24.12.1 🍋⚖️ IT Bill 2025: Notable changes to become effective from 1/Apr/2026

BEFORE	After
"assessment year" (AY), which assesses tax on income earned in the "previous (financial) year". For instance, income earned in the financial year (FY) 2024–25 (April 1, 2024 to March 31, 2025) is assessed in AY 2025–26 (beginning April 1, 2025).	Replaced with a simpler concept called "tax year". Tax Year = 12-month period beginning April 1.
old tax regime (OTR) tax slabs were written in the law.	not written.
Less clarity.	income tax officers can search & seize all types of "Virtual digital space" e.g. email servers, social media accounts, online investment, trading and banking accounts, cloud servers, and digital apps.
outdated definition of property e.g. land and building, shares, gold, jewellery, paintings, sculptures etc	Virtual digital assets e.g. bitcoins, crypto currencies, non-fungible tokens etc will also be counted as property. (=30% Capital gain tax if you sell it on profit.)

24.12.2 🧹 Penalty to be called 'Addl amount' 👛Budget-2026:

Before	
Honest taxpayers are willing to settle disputes by paying all their dues. But they get demotivated due to negative connotation associated with penalty.	we'll call it additional amount

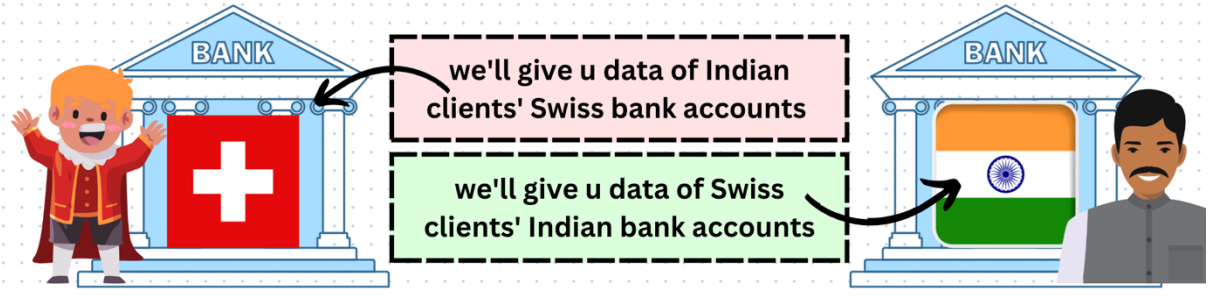
24.13🍋🌐🤝Taxation → Global Treaties, Agreements & Indexes

24.13.1 🍋🌐🤝 Tax Information Exchange Agreement (TIEA: कर सूचना विनिमय समझौता)

➢ India has signed such agreements with multiple countries. It enables mutual sharing of information to detect tax avoidance and tax evasion. Example,

➢ 2019: India has notified a tax information exchange agreement (TIEA) with the Marshall Islands.

➢ From Indian side- CBDT is the the nodal agency for such agreements.



24.13.2 🍋🌐🤝 USA's Foreign Account Tax Compliance Act (FATCA-2010)

विदेशी खाता कर अनुपालन अधिनियम

➢ USA's FATCA Act requires foreign financial Institutions (such as Indian Banks, Pakistani Insurance Companies, Chinese Mutual Funds etc) to report the assets held by Americans.

➢ This helps US Tax authorities to detect tax avoidance / evasion by Americans

24.13.3 🌐 Intl.Coop: Tax Inspectors Without Borders (TIWB)

- Joint initiative by United Nations Development Programme (UNDP) and Organisation for Economic Co-operation and Development (OECD)
- For training and knowledge sharing of tax inspectors. (कर निरीक्षकों के प्रशिक्षण और ज्ञान के आदान-प्रदान)
- India is a member & we train tax officers of African country '**Eswatini**' (old name: **Swaziland**).

🔠 MCQ. ***Which of the following 2 orgs are parts of TIWB? (CAPF-2024)***

(a) UNDP + ASEAN (b) OECD + ASEAN (c) UNDP + OECD (d) ILO + ASEAN

24.13.4 🍋🌐📊 Global Financial Secrecy Index (वैश्विक वित्तीय गोपनीयता सूचकांक)

➢ Prepared by London based Think Tank 'Tax Justice Network (TJN)'.

➢ It uses 20 indicators to measure the countries on their financial secrecy, opportunities for Tax Avoidance, BEPS etc. **2022 Ranking:** 1st rank: USA> Switzerland>Singapore,….then India@36.

➢ Its report says India is losing over $10 billion in taxes each year due to MNC's tax abuse.

24.14 💸 Black Money → Demonetisation (विमुद्रीकरण)




Definition? Demonetization is the wholesale withdrawal of currency notes from circulation. (मुद्रा-चलन में से कुछ खास किस्म की नोटों को हटा देना)

➢ RBI Act 1934: Every banknote is a legal tender. However, RBI Central Board can recommend the Government of India to notify specific currency note(s) should no longer be treated as legal tenders. Then FinMin → Department of Economic Affairs makes official gazette notification.

➢ 1946: ₹ 500 Notes demonetized; 1978: ₹ 1000, ₹ 5000, ₹10000 Notes demonetized.

➢ **2016-Nov-8th:** Public was ordered to deposit the (old) Mahatma Gandhi series currency notes ₹ 500 and ₹ 1,000 (henceforth called "Specified Bank Notes: SBN") into Banks and post-offices latest by 30th December 2016. And all the banks and post offices where ordered to deposit such SBN into RBI.

➢ **Specified Bank Notes (Cessation of Liabilities) Ordinance:**

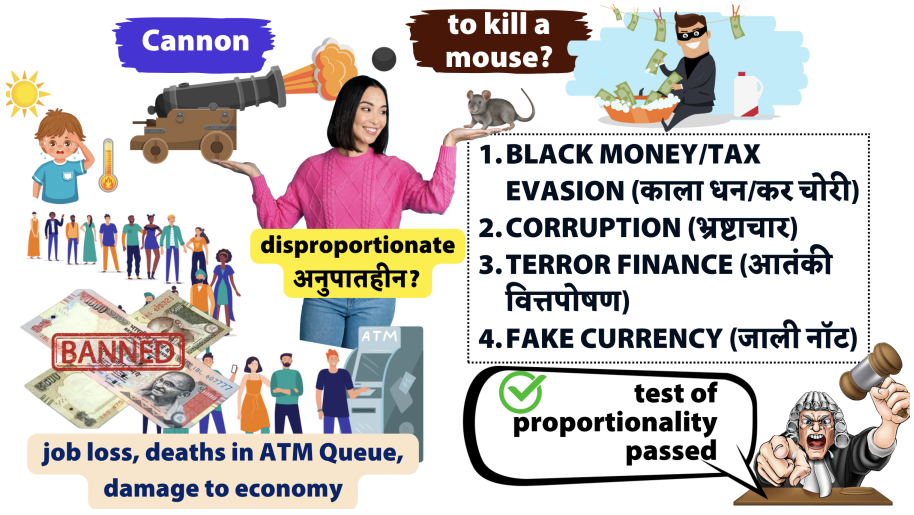
- From 31st December 2016, RBI Governor not required to honour "I promise to pay…" or exchange the SBN. Except for NRIs: deadline little bit relaxed, with certain caveats.
- Public prohibited from keeping SBN, except for research or numismatics or museum- and that too in limited amount. This ordinance became Act in 2017.

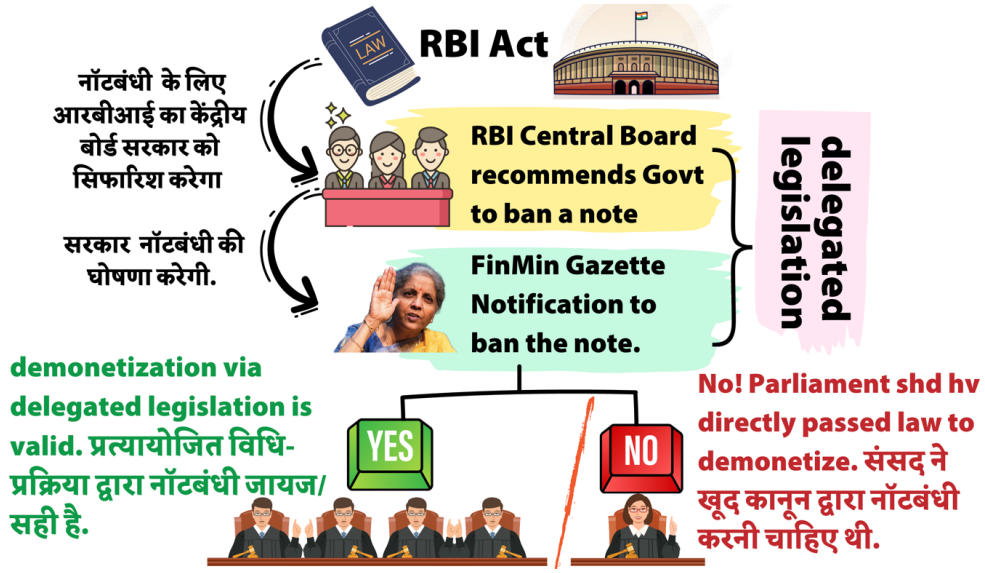
- India is not the only country in the world to do demonetisation. Sweden (2013), European Union (2016) and even Pakistan (2015) has done it for their currency notes.

24.14.1 💸Why Demonetise ₹ 500 & 1000?

- Demonetization is usually done in the aftermath of hyperinflation, war & regime-change.
- India did it to combat Corruption, Black money, Counterfeiting and Terror finance .
  भ्रष्टाचार, काला धन, जाली नॉट,आतंक का वित्तपोषण
- We had 12.04% Cash to GDP ratio, one of the highest in the world. Currency printing & transportation cost alone was 1.7% of GDP.
- "Soil rate" is the rate at which notes are considered to be too damaged to use and returned to the RBI. (बिगड़े/फटे हुए नोटों को रिजर्व बेंक में बदलवाना)
- For ₹ 500 & 1000 SBN-notes, soil rate was much lower than the currency notes of ₹ 10 to 100. (implying that 500-1000 SBN were used for 'storing black money', rather than in transactions.)
- So, experts made mathematical comparison of the foreign countries' economic development, soil rates of their foreign currency notes etc. and arrived at a figure ₹ 3 lakh crores of Indian black money is stored in SBN (=2% of GDP).
- So if SBN were demonetised, the black money holders will not return their currency notes into banks (fearing IT-RAIDS) and thus black money will be destroyed. (काला धन स्वयं तबाह हो जाएगा)
- But in reality, ~99.30% of the SBN were returned back into the banking system, so hardly ₹ 10,720 crore of black money was destroyed by the demonetisation of 2016.

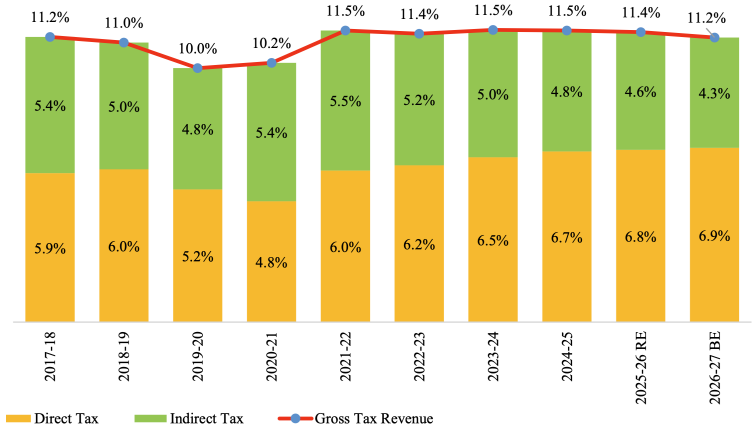
24.14.2 👩‍⚖️ Demonetisation SC Verdict





- 2016: Congress Leader P Chidambaram and many others had petitioned in SC.
- 2023: Supreme Court upholds Demonetisation In 4:1 Verdict. (सर्वोच्च न्यायालय ने सरकार के के जजों ने विमुद्रीकरण के निर्णय को 4–1 की बहुमति से उचित/योग्य/सही ठहराया है)

24.14.3 Graph: Tax to GDP ratio



24.14.4 Direct vs Indirect Tax proportion by ES26:

out of total taxes	Direct Tax	Indirect Tax	Total
Pre-pandemic (avg)	51.9%	48.1%	100%
Post-pandemic (avg)	55.5%	44.5%	100%
FY25	58.8%	41.2%	100%

24.14.5 Tax: GDP – why low in India (भारत का कर:जीडीपी अनुपात खराब क्यों है?)

1) Lack of civic sense among people that paying taxes is a basic duty. (देश के प्रति कर्तव्य की भावना नहीं)
2) Presence of informal sector, parallel economy, cash based economy provides ample opportunities of hiding income. (नगदी आधारित अनौपचारिक अर्थतंत्र)

3) Low per capita income, high level of poverty. Concentration of income in the hands of few people- who are greedy to engage in tax evasion & avoidance. (देश की ज्यादातर संपत्ति चुनिंदा लोगों के हाथों में केंद्रित, जो लालच में कर जमा नहीं करते)
4) Election funding → source of corruption → black money. Politician-Builders-Mafia nexus.
5) Due to political considerations, state govts and local bodies do not levy all the taxes authorised by the constitution e.g. tax on agricultural income. So our (direct) tax base is narrow. [Tax base: कराधार means the total value of all the persons/income/property, etc. on which tax is charged.]
6) Loopholes in the tax laws encourage tax avoidance (कर कानूनों में खामियां)
7) Direct taxes like wealth tax, gift tax and estate duty suffered from loopholes, lax monitoring and evasion. They didn't yield much revenue. Hence even referred as '**paper taxes**', and had to be abolished ultimately. (कागजी कर जिनसे वास्तव में नाम मात्र की आमदनी होती थी)

24.14.6 Tax: GDP ES19: "Use Behavioural Economics to improve Tax Compliance"



Shifted to Mains-QEP. (Above img-source: Taarak Mehta Ka Ooltah Chashmah)

24.14.7 Nudge tool by IT Dept for Tax Payers' behavior improvement

- NUDGE = **N**on-intrusive **U**sage of **D**ata to **G**uide and **E**nable
- Based on behavioural economics — IT Dept sends data-driven emails/letter/SM to nudge taxpayers into compliance, instead of raids and coercion. Resulting into following benefits

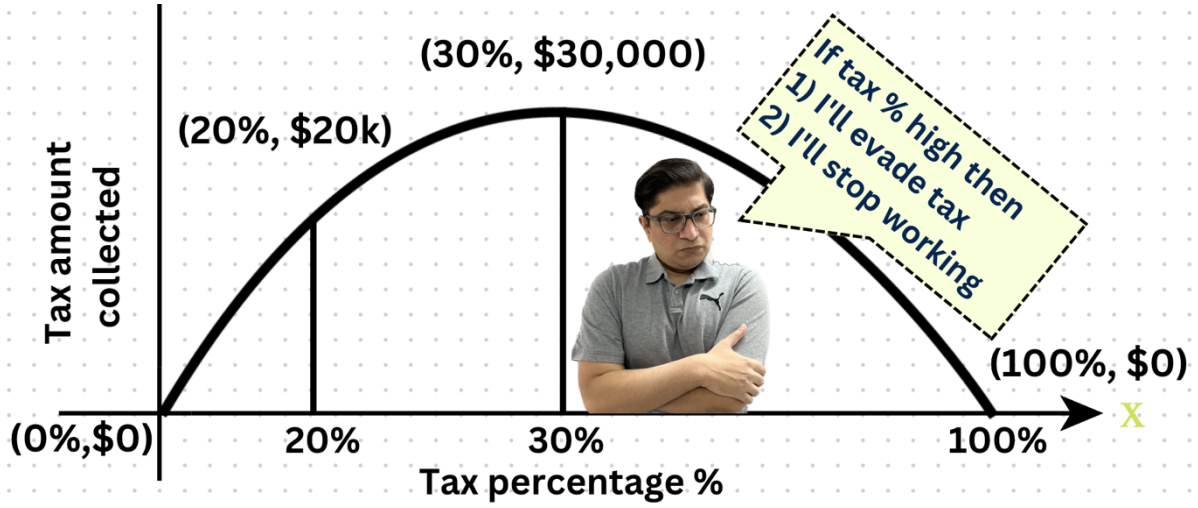
NUDGE Results	Amount/Impact
Number of ITR filed	6.9 crore (FY22) → 9.2 crore (FY25)
Foreign income / Assets declared	increased by ₹ 30,000 cr
Non-genuine agricultural income identified	₹2,000+ crore
Capital gain tax in IPO	₹2,000+ crore

24.15 Revenue Shortfall (राजस्व की कमी)

Revenue Shortfall happens when govt earns less tax than its original target/projection.

Amt in Crores	2019-20	2020-21	2021-22 to 2024-25	2025-26
Budget Estimate (BE)	1962761	2020926	Whatever "X"	4270233
Revised Estimate (RE)	1684059	2027104	More than "X"	4077772
Shortfall, if RE<BE	Shortfall of 2.78 Lcr	Surplus	Surplus	Shortfall 1.92lcr due to Income Tax & GST fall

24.15.1 🍋Taxation: Misc. Terms → Laffer Curve (लफ़र वक्र):



- American economist Arthur Laffer: if (direct) tax rates are ⏫ above a certain level, then tax revenue collection will ⏬ because higher tax rates discourage people from working and/or encourage them to evade tax.
- So, tax-cuts could lead to ⏫ tax revenue collections.
- 💼**Modi Budgets from 2017 onwards:** The lowest Income Tax slab was cut from 10% to 5%; The corporation tax reduced, 💼**Budget-2020:** new optional Income tax slabs. 👛**Budget-2025:** no income tax till ₹12 lakh.
- 💼**USA Budget-2017: Corporation tax cut down from 35 % to 15%**

24.15.2 🏀 Tax Buoyancy observations by 📕ES26: (कर उत्प्लावकता)

Tax buoyancy = how responsive tax revenues are to changes in overall economic activity or GDP.

- Tax Buoyancy = per cent change in tax revenue ÷ per cent change in GDP.
- Tax Buoyancy greater than >1 implies that Tax revenue grows faster than GDP.

Tax	Buoyancy	2022-25
Income Tax (Personal)	1.8	Rising faster than GDP — more people in tax net, rising salaries
STT (Securities Transaction Tax)	1.8	Rising faster than GDP, More investors have entered Sharemarket.
Corporate Tax	~1.0	Growing at 1:1 speed along with GDP.
GST	1.6 (FY22) → 1.3 (FY24)	Still >1, healthy growth. But growth is slowing down. ES26 silent, I've copied data from Business Standard newspaper.
Excise Duty	<1	Its growth speed is lower than GDP growth. Bcoz (1) Rate cuts on petroleum products (2021–22) (2) petrol/diesel consumption has not greatly increased. 📘ES23: Even pre-GST indirect taxes (VAT, Services Tax etc) =0.99 had lower buyoancy.

Tax	Buoyancy	2022-25
Customs Duty	0.4	Its growth speed is lower than GDP growth. Bcoz government has been cutting customs duty on import of raw materials.

24.15.3 ⚽ Tax elasticity (कर लचिलाता)

Example Salt has low income elasticity of demand (people don't consume more salt as they get richer) → so as GDP grows, salt consumption barely rises → GST revenue from salt barely rises → low tax elasticity of salt-GST with respect to GDP.

Formula	If tax rates don't change	If tax rates do change
% change in tax revenue ÷ % change in GDP =	Tax Elasticity	Tax Buoyancy

Note: textbooks and Economic Survey focus more on Buoyancy and remain mostly silent on tax Elasticity so no need to worry too much over compare/contrast. Buoyancy is more imp topic.

24.15.4 🍋 Net Tax Revenue of the Govt (शुद्ध कर राजस्व)

Sr.	Budget → Revenue Receipts → Tax Receipts	Budget'26
A	Gross Tax Revenue = Union's Direct and indirect taxes, incl. cess and surcharge	44.04 lakh cr
B	Union territories without legislature: their taxes: विधानमंडल रहित केंद्र-शासित प्रदेशों के कर	10,256 cr (included in A)
C	Gross Tax Revenue (=A) सकल कर राजस्व	44.04 lakh cr
D	Minus the Tax devolution to States (कर हस्तांतरण) as per the Finance Commission	(-) 15.26 lakh cr
E	Minus Contributions to National Disaster Response Fund in Home ministry**	(-) 10,910 cr
C-D-E	Net Tax Revenue of Union (शुद्ध कर राजस्व)	~28.67 lakh cr

***Public Account → National Disaster Response Fund (राष्ट्रीय आपदा प्रतिक्रिया कोष) is a statutory fund under Disaster Management Act, 2005. Previously, called National Calamity Contingency Fund (NCCF).*

24.16 📩🚆📮 Budget → Revenue Part → Receipts → Non-Tax Receipts

24.16.1 Notable components of non-tax reciept:

⇒ Interest receipts (ब्याज प्राप्तियां received on Union's loans to states, railways, CPSE, foreign countries.) is a revenue receipt. [Had those borrowers repaid loan-principal, then that portion is 'Capital Receipt.]

⇒ Dividends and profits received from CPSE, PSBs, RBI. [Had Union sold its shares to a third party (disinvestment / privatization) → that's 'Capital Receipt'].

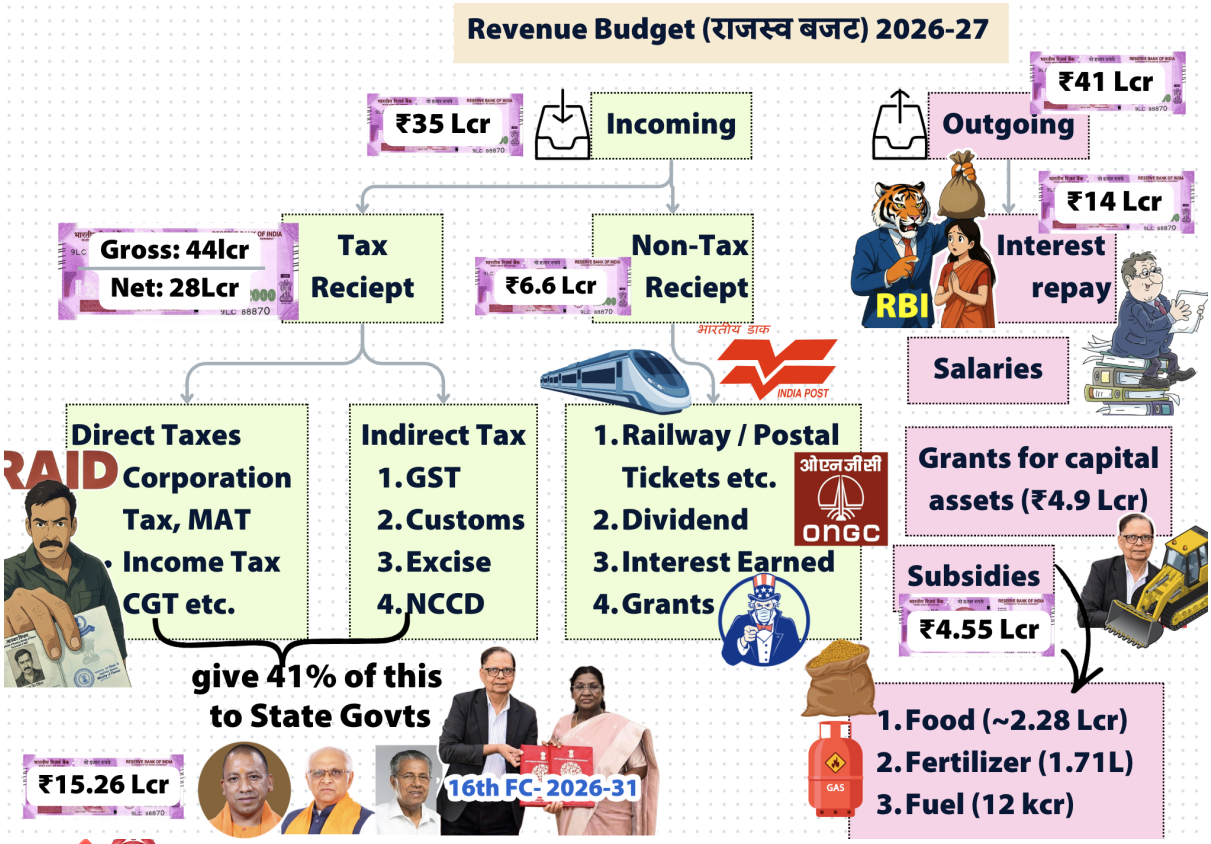
⇒ Union's income from (Dividend & Profits) >> from Interests.

⇒ Income from selling various goods & services such as railways, postal services, selling of India Yearbook-, Yojana-Kurukshetra magazines, fees that CISF charges for giving protection to Private Airports, auction of spectrum & mining rights, selling of commemorative coins etc.

⇒ Grant in Aid (अनुदान)/ Donations received by Union.

⇒ [If Union had received 'loan', it'll be 'Capital Receipt'.]

⇒ Similar Non-tax revenue earned by UT without Legislature



25 BUDGET → REVENUE EXPENDITURE (राजस्व खर्च/ व्यय)

- **Expenditures** spent on day to day functioning of the organs of the state =
  - salaries & pensions, stationery, electricity bill, phone bill etc.
  - in Executive, Judiciary, Legislature, Constitutional & Statutory bodies.
- **Expenditures** that do not create income generating assets or permanent assets or financial assets.
- Thus, money SPENT on loan-interests, subsidies, scholarships, grants etc. counted here

Notable Revenue Expenditures
• Interest to be paid on previous loans is Revenue Expenditure. • It is the **highest** in size, among the revenue expenditures. • [Note: When union repays loan-principal, its 'Capital Expenditure'].
- Finance Commission's Grant-in-Aid (अनुदान) to States & Local Bodies for Disaster Management, Panchayati Raj Development etc. - **Grant** = Amt doesn't have to be returned with Interest. (Whereas If Govt gave 'loans' to States/CPSE/Foreign Countries then it's an income generating financial asset = counted under Capital Expenditure).
Subsidies: 1) **Food subsidies, 2) Fertilizer** (Urea, Others), 3) **Fuel** (LPG, Kerosene) **4) Interest Subsidies** on loans: Farmers (highest), MSME, Affordable Housing, LIC Vay Vandana Yojana etc.: 5) **Other** (Price stabilization fund, Cotton & Jute etc.):

👴🏽Pension to retired employees (who belong to old pension scheme-walli generation.)
➢ Economic services related revenue expenditure (Agriculture, energy, transport, communication, Science technology) ➢ Social services' revenue expenditure (health, education, social security): ➢ Expenditure on Administrative machinery (Police, Jail, External Affairs etc.), Elections, Parliament, Judiciary: ➢ 👮🏽‍♂️Defence revenue expenditure (e.g. soldier salaries, fuel for tanks) ➢ Revenue expenditures of UT without Legislature:

🔠 MCQ. **As per the Budget 2019-20, the maximum subsidy expenditure was likely to be on _ _ _ (CDS-2020-ii)** (a) urea subsidy (b) petroleum subsidy (c) food subsidy(d) fertilizer subsidy.

🔠 MCQ. **Which items comprises the major portion of the revenue expenditure? (CDS-2024-2)** (a) Salaries (b) Interest Payments (c) Roads (d) Defence Services.

Major Item	Actuals 2024–25	BE 2025–26	RE 2025–26	BE 2026–27
Pension (पेंशन)	2,73,772	2,76,618	2,86,641	2,96,214
Defence (रक्षा)	4,50,733	4,91,732	5,67,855	5,94,585
Fertiliser (उर्वरक)	1,70,683	1,67,887	1,86,460	1,70,781
Food (खाद्य)	1,99,867	2,03,420	2,28,154	2,27,629
Petroleum (पेट्रोलियम)	14,479	12,100	15,121	12,085

25.1 🛋️⏰(🌽⛽) Revenue Expenditure ⟶ Subsidies

Tax	Subsidies
Tax is a compulsory contribution imposed by State. Refusal to pay the tax is **punishable**. कर= राज्य द्वारा लगाया जाने वाला कर एक अनिवार्य योगदान है। करचोरी एक दंडनीय अपराध	A subsidy is a benefit given to an individual or firm by the government to reduce some type of burden. A person may refuse to accept the subsidy, he will not be punished.
Tax doesn't promise specific and direct goods/services to the taxpayer. (Mukesh Ambani's car will still suffer from potholes)	A specific benefit is promised e.g. 6000 to farmers, idli@₹ 1 rupee in Amma Canteen (Tamilnadu).

25.1.1 🛋️⏰(🌽⛽) Types of subsidies with selected examples

1. **Given in direct cash (or bank transfer):** PM KISSAN 6k for farmers, LPG Pahal ~200 per cylinder. नगद में.
2. **Given in kind:** free school bags, uniform and books to the poor children, free medicines in public hospitals, free insurance. मुफ्त वस्तु या सेवा के रूप में
3. **Indirect subsidies (परोक्ष):** cheap fees in government colleges, cheap kerosene, cheap urea, cheap crop insurance premium etc. Here govt. is paying some money to an organization so they may provide goods/services @cheap rate to the beneficiary.

4. **Implicit Subsidies (अंतर्निहित):** Govt supresses the supply so to ⏫ the prices to help a sector. E.g. Indian govt banned import of American chicken/poultry/eggs. So, shortage of chicken helps local Indian poultry industry to demand high prices from public. Here Indian poultry receiving 'implicit subsidy' (from public), even though Govt is not paying them money. (More in 📄 Pillar#3B -> WTO)
5. **Cross-Subsidization (क्रॉस सहायिकीकरण):** To keep rail travel cheap for the poor people, Railways keeps the passenger tickets lower than its input cost. To compensate this loss, Railways keeps freight (goods transport) prices higher. This is called "Cross subsidization" (More in 📄Pillar#5 Infra → Railways)
6. **Regulatory (नियामक) subsidies:** e.g. if State Electricity Regulatory Commission directs companies- that electricity to farmers must NOT to be beyond ₹ "x" per unit.
7. **Procurement (खरीद) subsidies:** e.g. FCI purchasing at food grains from farmers at minimum support price (MSP). (More in 📄Pillar#4A -> AGRO)
8. **Interest (ब्याज) subsidies / subvention:** govt pays "x%" interest on agriculture, MSME, affordable housing loans.

25.1.2 👍👎 Impact of Subsidies (सब्सिडी का प्रभाव: सकारात्मक एवं नकारात्मक)

- 👍 **Merit Goods (लाभदायक वस्तुऐं):** Healthcare, education, scientific research, LPG, solar panels, wind mills etc. Here subsidies can increase the positive externalities. (Cheap LPG → poors don't use firewood → more trees & less indoor pollution.)
- 👎 But subsidies on diesel, kerosene =**negative externalities (नकारात्मक बाह्यता)** on environment.
- 👎 Urea subsidies to industries → cheap urea to farmers → excessive consumption → soil & water pollution, algae-blooms. (यूरिया उर्वरक का अत्याधिक उपयोग जमीन पानी में प्रदूषण)
- 👎 **Subsidy leakage:** When **ghost** beneficiaries (non-existent persons propped up by corrupt officials), and **ineligible** (rich) people are receiving subsidy. (सब्सिडी रिसाव, धांधली और गबन)

25.1.3 📘📘 Economic Surveys on subsidy delivery JAM/DBT, Revdi Culture (आर्थिक सर्वेक्षणों के उपाय)

Shifted to Mains Handout.

25.1.4 💦 Tech-driven solutions to reduce leakages in CSS & FCI from 📕ES26:

- DBT (Direct benefit transfer) beneficiaries have increased from 11 cr to 176 cr in last 10 years.

Initiative	How it helps
SNA-SPARSH & TSA (Just-in-Time fund release)	Centrally-sponsored schemes (CSS) funds released directly from RBI accounts against actual expenditure → eliminates risk of fund diversion by state government agencies.
Food Corporation of India: RO-PDS + Anna Chakra + Rake Optimisation	These algorithms optimize supply chain from grain warehouse to PDS shop, e.g. optimal route, monitoring

Tools (by IIT-Delhi + UN)	weight of truck, etc. Thereby, reducing CO_2 & fuel cost & leakages

25.1.5 💊 Conditioner Cash transfer like Mexico, Brazil- recommends 📕ES26:

Country	**Scheme**	**Conditional transfer of** Cash
Mexico	Progresa/Oportunidades	only if children attend school + pregnant women visit health clinics, only then money given by govt.
Brazil	Bolsa Família	Similar conditions
Philippines	Pantawid Pamilyang	Similar & benefits stop once household conditions improve.

25.1.6 🚆 Cross-Subsidies in Railways (📕ES26)

	FY23	**FY25**	**FY26 (Budget)**
Freight as % of railway income	68%	65%	62%

- Freight (mainly coal transport) profits are used to subsidise losses in passenger services.
- Problem: High freight rates → companies prefer to transport via trucks instead of railway wagons → consumers have to bear the burden of increased transport cost.
- Solution: Railway Ministry increased passenger fares 3 times in the last 5 years (Jan 2020, Jul 2025, Dec 2025).
- But still, the Operating Ratio = 98.1% (FY23) i.e. for every ₹100 earned, ₹98.1 spent — so there is a need for more rationalisation in the passenger ticket price.

25.1.7 ⚡ Cross-Subsidies in electricity / Power Sector (📕ES26)

ACoS = Average Cost of electricity Supply (ACoS)

User	**Problem in some States**
Industrial & commercial consumers	pay more than ACoS + 20% (overcharged)
Farmers & domestic users	pay less than ACoS - 20% (undercharged)

- Thus, electricity companies are in losses, and State Govt. is not releasing the subsidy on time.
- Electricity Act 2003 requires State Electricity Regulatory Commissions (SERCs) to progressively reduce cross-subsidies. But there is not enough progress on the ground.

25.1.8 🇮🇷⚔️💰 Economic Stabilisation Fund After budget due to Iran War (13/Mar/26)

- 1/Feb/2026: govt presented the demand but did not anticipate the Iran war could cause problems in LPG / fertilizer supply.
- 13/Mar/2026: finance Minister took approval of Parliament to create " Economic Stabilisation Fund" with ₹57,000 cr. (आर्थिक स्थिरीकरण निधि)
- Objective? To allow India to respond to the global headwinds, such as the recent Iran/Gulf crisis, supply chain disruptions, unexpected shocks that may have significant fiscal implications (i.e. loss of tax revenue, increased burden of subsidies, etc)

25.2 Salary & Recruitment related

25.2.1 🏃‍♀️✍️👮‍♂️ National Recruitment Agency (NRA: राष्ट्रीय भर्ती एजेंसी, 2020)

- **Problem:** multiple recruitment exams conducted by multiple agencies at different points of time throughout the year..
- **Solution:** NRA to conduct Common Eligibility Test for recruitment to Non-Gazetted personnel in Government and PSBs. ⟶ SSC and IBPS will conduct Mains exams for respective posts ⟶ time and cost saved for both candidate and recruiting agencies.
- 💼Budget-2020: we'll set up NRA & open a (computerized) test centre in every district.
- **Self-Study-Topics for GSM2/GSM4**: 1) Lateral entry in IAS. 2) Three years tour of duty in Army. Source? Internet / Current Affairs PDF/Lectures.

🔠 MCQ. **Find correct about National Recruitment Agency? (CDS-2024-2)**

(a) It is a body to conduct Common Eligibility Test (CET) to shortlist the candidates for vacancies under 'Group B' and 'Group C' of the Government.

(b) Employment in private sector is facilitated in all the districts, particularly 117 aspirational districts. (c) It was set up in 2014. (d) It has been accorded constitutional status in 2021.

25.2.2 🛋️⏰🥱 Revenue xpdr ⟶ Salaries⟶ 7th Pay Commission (वेतन आयोग)

Setup by Finmin ⟶ Dept of Expenditure. 1st: Srinivasa Varadachariar (1946). 7th: (Retd) Justice AK Mathur (2014). Its recommendations became effective from 1/1/2016. Major highlights were:

✓ New system of "**Pay Matrix**" instead of previous system of pay band and grade pay.

✓ Regulatory bodies salaries increased: Chairman ₹ 4.50 lakh / month, members ₹ 4l.

✓ Minimum pay in Central service increased to ₹ 18k / per month (Group-D).

✓ Maximum pay: ₹ 2.25 lakh per month for Apex scale (e.g. Secretary of a Dept.), and ₹ 2.50l (for Cabinet Secretary)

✓ It adopted Dr. Aykroyd **formula** to compute wages at periodic interval (formula tracks the changes prices of the commodities used by a common man).

✓ Various reforms for defence and CAPF services. (सशस्त्र सेना /केंद्रीय पुलिस बल के लिए सुधार)

✓ stronger rules in **Modified Assured Career Progression (MACP)** system so lazy officials don't get promoted. (आलसी और निकम्मे अफसरों की पदोन्नति को रोका जाए)

25.2.3 🛋️⏰🥱 Revenue xpdr ⟶ Salaries⟶ 8th Pay Commission Justice Ranjana Desai

- Name of the chairman is Justice Ranjana Desai. Formed in Oct'25. Her report will be implemented retrospectively from January 1, 2026. It will benefit nearly 5 million Central government employees including Defence services personnel.

25.2.4 🥱 Pay Commission: Dearness Allowance (DA: महंगाई भत्ता)

- Dearness Allowance (DA): It is an allowance given by government to (serving/non-Retired) central government employees to protect them against the inflation. (नौकरीशुदा कर्मीयो को)
- Dearness Relief (DR): It is an allowance given by government to RETIRED central government employees to protect them against the inflation. (निवृत कर्मीऑ को)

- In 2020- Union govt had frozen DA&DR because Govt was struggling with money for Corona relief. 2021-July: Govt resumed paying & ⏫ DA&DR from 17% to 28%. कोरोना-वर्ष में सरकार ने सरकारी कर्मचारियों को महँगाई भत्ता नहीं दिया, क्योंकि सरकार को खुद ही पैसों की क़िल्लत थी, लेकिन अब वापस शुरू कर रही है.

25.2.5 🥳 Bonus to govt employees

Bonus is occasional extra money given to employees in addition to normal salary. (वेतन के अतिरिक्त कभी कभी कुछ और पैसा दिया जाए)

📈 Productivity Linked Bonus (प्रदर्शन आधारित)	Non-Productivity Linked (=ad-hoc)
• e.g. how many files did employee clear? • how many trees did forest-guard plant? • did employee improve the sales in postal dept/railways etc?	e.g. Diwali Bonus. It doesn't matter if employee worked hard or not for the entire year.

25.2.6 🥳 Pay Commission: Misc. terms

- **House Rent Allowance (HRA: मकान किराया भत्ता):** rent allotted by the employer for employee's accommodation (house).
- **Gratuity (ग्रेच्युटी)**: It's a lump sum amount "x" given by an employer to the employee for rendering services continuously for "y" number of years. Usually given at retirement. Norms governed under Payment of Gratuity Act, 1972
- **One Rank One Pension (OROP)**: 2015- Modi govt. promised equal pension to military personnel retiring in the same rank with the same length of service, regardless of the date of retirement. Some, Ex-servicemen unhappy about the base year & calculation formula.

25.2.7 NEXT Handout: Pillar2D 📩📅 BUDGET → CAPITAL → RECEIPTS & Expenditure

2A) ✅ Direct Taxes

2B) ✅ Black Money and FC

2C) ✅ Subsidies, Salaries, Revenue Expenditure (present within this HDT)

2D) Disinvestment, Deficit, FRBM Act, Fiscal Council, Budgeting-Railway budget, plan-non plan budget, & scheme types etc.